Stratum Capital Bank

Enterprise Governance & Risk Framework

Chapter 18

Credit Portfolio Monitoring & Post-Approval Risk Management

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1. Introduction

1.1 Purpose of This Handbook

This handbook establishes the formal governance framework for credit portfolio monitoring and post-approval risk management at Stratum Capital Bank. It serves as the authoritative operational reference for all personnel engaged in the supervision, review, and administration of credit facilities after initial approval and disbursement.

The primary purpose of portfolio monitoring is to preserve asset quality, identify emerging credit deterioration at the earliest possible stage, and enable timely, proportionate intervention before losses materialise. While preceding chapters of the Enterprise Governance & Risk Framework address origination, underwriting, and approval processes, this chapter governs the continuous oversight obligations that extend throughout the entire life of every credit relationship.

1.2 Importance of Continuous Risk Assessment

Credit risk is not static. Borrower circumstances evolve in response to macroeconomic conditions, industry dynamics, personal financial events, and behavioural changes. A borrower who presented an acceptable risk profile at the point of origination may, within months or years, exhibit characteristics that materially alter the probability of default or loss given default.

Continuous risk assessment is therefore not an administrative formality but a substantive risk management discipline. It requires:

- Systematic observation of borrower behaviour and financial condition
- Regular reassessment of collateral values and security adequacy

- Ongoing evaluation of industry and macroeconomic factors affecting obligors
- Proactive identification of deterioration signals before they result in missed payments
- Documentation of monitoring findings and management actions for audit and regulatory purposes

Failure to maintain rigorous post-approval monitoring exposes the bank to unrecognised credit deterioration, delayed loss recognition, regulatory censure, and erosion of portfolio quality.

1.3 Responsible Lending

Responsible lending obligations do not conclude upon disbursement. The bank has a continuing duty to ensure that credit facilities remain appropriate for the borrower's circumstances, that the borrower is not placed in undue financial distress, and that the bank acts fairly and consistently in all dealings with obligors.

Post-approval monitoring supports responsible lending by:

- Detecting early signs of borrower distress and enabling supportive intervention
- Preventing the accumulation of unsustainable debt burdens
- Ensuring that collection and recovery activities are conducted with appropriate professionalism and regulatory compliance
- Maintaining accurate records that support fair treatment of borrowers in disputes or complaints

1.4 Portfolio Quality

Portfolio quality is the aggregate measure of credit health across the bank's entire lending book. It is influenced by:

- The credit quality of individual obligors
- The concentration of exposures by sector, geography, product, and risk grade
- The effectiveness of monitoring and early intervention processes
- The timeliness of loss recognition and provisioning

This handbook defines the processes, metrics, and governance structures that the bank employs to maintain and, where possible, improve portfolio quality over time.

1.5 Credit Lifecycle Management

Credit lifecycle management encompasses all stages from initial customer inquiry through to final account closure or recovery resolution. Effective lifecycle management requires seamless coordination between origination, monitoring, collections, and recovery functions. This chapter focuses on the monitoring, review, and intervention stages, while acknowledging the interdependencies with all other phases of the credit lifecycle.

1.6 Risk Governance

Credit portfolio monitoring operates within the bank's broader risk governance framework. Key governance principles applicable to this chapter include:

- **Three Lines of Defence:** Front-line lending staff (first line) conduct day-to-day monitoring; risk management and compliance functions (second line) provide oversight, challenge, and policy enforcement; internal audit (third line) provides independent assurance.
- **Escalation and Authority:** Clear thresholds define when monitoring findings must be escalated to more senior personnel or committees.

- **Documentation and Audit Trail:** All monitoring activities, decisions, and actions must be documented comprehensively to support internal audit, external audit, and regulatory examination.
- **Independence and Objectivity:** Risk assessment and monitoring decisions must be made independently of sales or origination incentives.

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2. Loan Lifecycle

2.1 Overview of the Credit Lifecycle

Every credit facility at Stratum Capital Bank progresses through a defined sequence of stages. Each stage carries specific responsibilities, documentation requirements, and risk management obligations. Personnel must understand their role within the broader lifecycle and ensure that handoffs between stages are executed with appropriate diligence.

The standard credit lifecycle comprises the following stages:

```
Application → Approval → Disbursement → Monitoring → Review → Renewal → Closure → Recovery
```

2.2 Stage 1: Application

Definition: The period during which a prospective borrower submits a formal request for credit and the bank undertakes initial assessment.

Key Activities:

- Receipt and logging of application data
- Identity verification and Know Your Customer (KYC) checks
- Preliminary credit bureau enquiry
- Income and employment verification
- Collateral or security assessment (where applicable)
- Initial risk scoring and grade assignment

Monitoring Relevance: Application data establishes the baseline against which future monitoring comparisons are made. Inaccurate or incomplete application data undermines the effectiveness of all subsequent monitoring. Loan officers must ensure that application files contain verified, contemporaneous information.

Responsible Parties: Loan Officer, Credit Analyst, Branch Operations Staff

2.3 Stage 2: Approval

Definition: The formal decision-making process during which the bank evaluates creditworthiness, determines facility terms, and grants or declines the application.

Key Activities:

- Comprehensive credit analysis
- Debt serviceability assessment

- Security and collateral valuation
- Credit grade and sub-grade assignment
- Facility structuring (amount, tenor, pricing, covenants)
- Approval authority execution in accordance with the Delegated Lending Authority Matrix
- Documentation of approval rationale and conditions

Monitoring Relevance: Approval documentation establishes the contractual baseline, covenant requirements, and risk grade expectations. Monitoring staff must have access to all approval conditions and covenants to verify ongoing compliance.

Responsible Parties: Senior Credit Officer, Credit Committee (where applicable), Branch Manager

2.4 Stage 3: Disbursement

Definition: The execution of the approved facility, including documentation perfection, security registration, and release of funds.

Key Activities:

- Legal documentation execution
- Security perfection and registration
- Insurance verification (where required)
- Pre-disbursement condition satisfaction
- Fund transfer and account establishment
- Initial system recording and grade assignment

Monitoring Relevance: Disbursement data establishes the account reference points for all subsequent monitoring. Any errors or omissions at disbursement (e.g., incorrect grade assignment, missing covenant flags) will propagate through the monitoring lifecycle unless identified and corrected.

Responsible Parties: Loan Officer, Legal Documentation Team, Operations Staff, Collateral Management Unit

2.5 Stage 4: Monitoring

Definition: The continuous, ongoing oversight of borrower behaviour, financial condition, and facility performance throughout the life of the credit.

Key Activities:

- Periodic account performance review
- Covenant compliance verification
- Financial statement analysis (commercial borrowers)
- Collateral value reassessment
- Early warning indicator surveillance
- Behavioural scoring updates
- Documentation of monitoring findings

- Triggering of manual reviews where warranted

Monitoring Relevance: This is the primary subject of this handbook. All personnel engaged in monitoring must execute their responsibilities in accordance with the standards defined in subsequent sections.

Responsible Parties: Loan Officer, Portfolio Monitoring Unit, Risk Analytics Team, Branch Manager

2.6 Stage 5: Review

Definition: Formal reassessment of the credit facility at defined intervals or upon trigger events, resulting in a refreshed risk assessment and management decision.

Key Activities:

- Comprehensive re-evaluation of borrower creditworthiness
- Updated financial analysis
- Collateral revaluation
- Risk grade reaffirmation or revision
- Covenant reset (where applicable)
- Facility amendment or restructuring consideration
- Documentation of review conclusions and management actions

Monitoring Relevance: Reviews represent formal checkpoints at which the bank validates or revises its risk assessment. Reviews may result in grade migration, facility modification, or escalation to collections.

Responsible Parties: Senior Credit Officer, Credit Committee (where applicable), Loan Officer

2.7 Stage 6: Renewal

Definition: The process by which a facility approaching maturity is reassessed for continuation, typically involving a full credit analysis equivalent to a new application.

Key Activities:

- Updated application and financial information
- Full credit analysis
- Security revaluation and re-perfection
- Terms and conditions renegotiation
- Approval authority execution
- Documentation of renewal rationale

Monitoring Relevance: Renewal represents a critical decision point. The bank must not automatically renew facilities without rigorous reassessment. Monitoring findings from the preceding period are integral to the renewal decision.

Responsible Parties: Loan Officer, Senior Credit Officer, Credit Committee, Legal Documentation Team

2.8 Stage 7: Closure

Definition: The formal termination of a credit facility upon full repayment, prepayment, or negotiated settlement.

Key Activities:

- Verification of full repayment and zero outstanding balance
- Security release and discharge
- Credit bureau status update
- Customer notification and account closure
- Archival of facility documentation
- Performance assessment and lessons learned (where applicable)

Monitoring Relevance: Closure represents the successful conclusion of the credit lifecycle. Monitoring staff must ensure that all closure conditions are satisfied and that the facility is properly derecognised from the portfolio.

Responsible Parties: Loan Officer, Operations Staff, Collateral Management Unit, Legal Documentation Team

2.9 Stage 8: Recovery

Definition: The process by which the bank pursues repayment from a defaulted or non-performing borrower through collection activity, restructuring, legal action, or write-off.

Key Activities:

- Default classification and provisioning
- Collection activity initiation
- Restructuring or workout negotiation
- Legal recovery proceedings
- Security enforcement
- Write-off recommendation and approval
- Recovery monitoring and post-write-off pursuit

Monitoring Relevance: Recovery represents the final stage for non-performing facilities. Monitoring processes must ensure timely transition from performing to non-performing status and seamless handoff to the Recovery & Collections Department.

Responsible Parties: Recovery & Collections Department, Legal Department, Loan Officer (advisory role), Senior Credit Officer

2.10 Inter-Stage Coordination and Handoff Responsibilities

Effective credit lifecycle management requires clear accountability at each handoff point:

Handoff Point	Deliverable	Responsible Party	Recipient	Quality Check
Application → Approval	Completed application file with verified data	Loan Officer	Senior Credit Officer	Completeness and accuracy verification
Approval → Disbursement	Approved facility documentation with conditions	Senior Credit Officer	Legal Documentation Team	Condition checklist completion
Disbursement → Monitoring	Active account with correct grade and monitoring triggers	Operations Staff	Loan Officer / Portfolio Monitoring Unit	System data validation
Monitoring → Review	Monitoring dossier with risk indicators and recommendations	Loan Officer	Senior Credit Officer	Indicator validation and action completeness
Review → Renewal	Review assessment and renewal recommendation	Senior Credit Officer	Credit Committee / Approval Authority	Risk grade validation
Monitoring → Recovery	Escalation pack with default documentation	Senior Credit Officer	Recovery & Collections Department	Default trigger verification
Recovery → Closure	Recovery resolution documentation	Recovery Manager	Operations Staff / Legal	Final balance and security verification

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3. Early Warning Indicators

3.1 Purpose and Framework

Early Warning Indicators (EWIs) are observable signals that suggest a borrower's creditworthiness may be deteriorating. The purpose of EWI surveillance is to detect deterioration at a stage when intervention is still likely to be effective and before the borrower enters formal delinquency or default.

This section defines the principal EWIs monitored by Stratum Capital Bank. For each indicator, the following elements are specified:

- **Definition:** Precise description of the indicator and how it is measured
- **Business Interpretation:** What the indicator signifies about borrower behaviour or financial condition
- **Risk Implications:** How the indicator affects the probability of default or loss severity
- **Recommended Actions:** Standard management responses when the indicator is observed
- **Monitoring Frequency:** How often the indicator is assessed

3.2 Indicator 1: Increasing Debt-to-Income Ratio

3.2.1 Definition The Debt-to-Income Ratio (DTI) measures the proportion of a borrower's gross monthly income that is committed to debt service obligations. It is calculated as:

```
DTI = (Total Monthly Debt Payments / Gross Monthly Income) × 100%
```

Total monthly debt payments include:

- Mortgage or rent payments
- Existing loan instalments (including facilities with other lenders)
- Minimum credit card payments
- Other committed periodic obligations (alimony, child support, etc.)

An increasing DTI is observed when:

- The borrower's DTI at any monitoring point exceeds the DTI recorded at origination by more than 5 percentage points; or
- The borrower's DTI exceeds the bank's maximum threshold for the applicable product category (typically 40% for unsecured consumer lending, 50% for mortgage lending, and 60% for commercial lending); or
- The borrower has taken on additional debt obligations since origination that are visible through credit bureau data.

3.2.2 Business Interpretation An increasing DTI indicates that the borrower's financial obligations are growing faster than their income capacity. This may result from:

- Income reduction or stagnation
- New borrowing with other creditors
- Increased living costs
- Lifestyle inflation
- Financial distress leading to reliance on credit

A rising DTI is particularly concerning when it approaches or exceeds the bank's maximum thresholds, as it indicates that the borrower has limited capacity to absorb further financial shocks.

3.2.3 Risk Implications

DTI Level	Risk Implication
Below 30%	Generally comfortable debt service capacity; low risk
30% –40%	Moderate debt burden; manageable under normal conditions
40% –50%	Elevated debt burden; vulnerability to income disruption
50% –60%	High debt burden; significant risk of payment difficulty

Table 4 – continued

DTI Level	Risk Implication
Above 60%	Severe debt burden; very high probability of default

3.2.4 Recommended Actions

Severity	Action
DTI increased 5-10 percentage points	Flag for enhanced monitoring; request updated income verification at next review
DTI increased 10-15 percentage points	Conduct manual review; assess new credit bureau data; consider covenant amendment
DTI increased 15+ percentage points or exceeds maximum threshold	Immediate senior credit officer review; consider facility restructuring, security enhancement, or early collection engagement

3.2.5 Monitoring Frequency

- **Automated surveillance:** Monthly via credit bureau data refresh and internal system calculation
- **Manual review trigger:** Upon any increase exceeding 5 percentage points
- **Formal reassessment:** Quarterly for borrowers with DTI above 40%

3.3 Indicator 2: Income Reduction

3.3.1 Definition Income reduction is observed when a borrower's verified gross income declines by 10% or more from the income level recorded at origination or the most recent review. Income reduction may be identified through:

- Updated payslips or tax returns provided during review
- Employer verification
- Bank statement analysis showing reduced salary deposits
- Self-declared income changes (to be verified independently)
- Credit bureau data indicating reduced credit capacity

For commercial borrowers, income reduction is assessed through:

- Declining revenue or profit in financial statements
- Reduced cash flow from operations
- Dividend or distribution reductions
- Tax return analysis

3.3.2 Business Interpretation Income is the primary source of debt service capacity. A sustained income reduction directly impairs the borrower's ability to meet obligations. Income reduction may be caused by:

- Job loss or redundancy
- Reduced working hours

- Salary cuts or bonus elimination
- Business revenue decline
- Industry downturn
- Macroeconomic recession
- Health-related work incapacity

The significance of income reduction depends on:

- The magnitude of the reduction
- The borrower's pre-existing financial cushion (savings, assets)
- The borrower's DTI before and after the reduction
- The expected duration of the reduction (temporary vs. permanent)

3.3.3 Risk Implications

Income Reduction	Risk Implication
10% –20%	Moderate impairment; may be manageable if DTI was conservative at origination
20% –30%	Significant impairment; high probability of covenant breach or missed payment
30% –50%	Severe impairment; very high probability of default without intervention
Above 50%	Critical impairment; default is likely imminent

3.3.4 Recommended Actions

Severity	Action
10% –20% reduction	Enhanced monitoring; request updated financial information; assess other EWIs
20% –30% reduction	Immediate manual review; reassess DTI; consider forbearance or restructuring options
Above 30% reduction	Escalate to Senior Credit Officer; initiate workout assessment; consider security enforcement

3.3.5 Monitoring Frequency

- **Automated surveillance:** Quarterly via bank statement analysis and credit bureau income proxies
- **Manual review trigger:** Upon any reported or detected income reduction
- **Formal reassessment:** Immediate upon detection of 20%+ reduction

3.4 Indicator 3: Employment Instability

3.4.1 Definition Employment instability encompasses any of the following conditions:

- Change of employer within 12 months of facility origination

- Multiple employer changes within a 24-month period
- Transition from permanent to temporary or contract employment
- Transition from full-time to part-time employment
- Periods of unemployment exceeding 30 days
- Industry-specific employment disruption (e.g., sectoral layoffs)
- Employer financial distress or insolvency

For commercial borrowers, employment instability includes:

- Key person departure
- Management restructuring
- Workforce reduction
- Business closure or relocation

3.4.2 Business Interpretation Employment stability is a critical predictor of income continuity. Frequent job changes, transitions to less secure employment arrangements, or periods of unemployment indicate heightened risk that the borrower's income stream may be interrupted.

Employment instability may reflect:

- Poor performance or disciplinary issues
- Industry or sectoral decline
- Personal circumstances affecting work capacity
- Voluntary career changes that may involve income uncertainty
- Economic conditions affecting labour market stability

3.4.3 Risk Implications

Employment Condition	Risk Implication
Single employer change with income maintenance	Low to moderate risk; verify new employment stability
Multiple employer changes or income reduction on change	Moderate to high risk; assess income continuity
Transition to temporary/contract work	High risk; income is less predictable and may lack benefits
Unemployment period $>$ 30 days	Very high risk; immediate intervention required
Employer insolvency	Critical risk; assess redundancy likelihood and borrower resilience

3.4.4 Recommended Actions

Condition	Action
Single employer change	Request updated employment verification; confirm income stability

Table 9 – continued

Condition	Action
Multiple employer changes	Enhanced monitoring; reassess credit grade; consider covenant requirements
Transition to temporary/contract	Manual review; assess income history in new role; consider security enhancement
Unemployment > 30 days	Immediate escalation; initiate forbearance assessment; engage collections if payment missed
Employer insolvency	Immediate review; assess borrower exposure; consider proactive restructuring

3.4.5 Monitoring Frequency

- **Automated surveillance:** Monthly via credit bureau employment data and internal records
- **Manual review trigger:** Upon any employment status change
- **Formal reassessment:** Immediate upon detection of unemployment or employer insolvency

3.5 Indicator 4: Late Payments

3.5.1 Definition A late payment is recorded when a borrower fails to remit the full contractual instalment by the due date. The bank distinguishes between:

- **Grace period late payment:** Payment received within the contractual grace period (typically 1-5 days after due date)
- **Minor delinquency:** Payment received 1-30 days after due date
- **Moderate delinquency:** Payment received 31-60 days after due date
- **Severe delinquency:** Payment received 61-90 days after due date
- **Default:** Payment outstanding beyond 90 days (or earlier if defined by product-specific policy)

Late payments may be identified through:

- Internal account ledger review
- Credit bureau payment history data
- Automated payment monitoring systems
- Customer communication records

3.5.2 Business Interpretation A late payment is the most direct and unambiguous indicator of deteriorating credit quality. It signals that the borrower has encountered a cash flow constraint, financial management difficulty, or deliberate prioritisation of obligations.

The significance of a late payment depends on:

- The borrower's payment history (first late payment vs. pattern of lateness)
- The number of days past due
- Whether the late payment is isolated or recurring
- Whether the borrower proactively communicates with the bank

- The borrower's overall financial profile

A first late payment from a historically performing borrower may indicate a temporary cash flow issue. A pattern of late payments indicates systemic financial distress.

3.5.3 Risk Implications

Late Payment Pattern	Risk Implication
Single grace period late payment	Low risk; monitor for recurrence
Single minor delinquency (1-30 days)	Moderate risk; may indicate temporary difficulty
Recurring minor delinquency	High risk; indicates systematic cash flow problems
Single moderate delinquency (31-60 days)	High risk; significant payment difficulty
Recurring moderate delinquency	Very high risk; probable default trajectory
Severe delinquency (61-90 days)	Critical risk; default is imminent or has occurred

3.5.4 Recommended Actions

Condition	Action
Grace period late payment	Automated reminder; no manual action unless recurrent
First minor delinquency	Friendly reminder call; assess reason; document
Recurring minor delinquency	Enhanced monitoring; manual review; assess other EWIs; consider payment plan
Moderate delinquency	Immediate collections engagement; senior credit officer notification; restructuring assessment
Severe delinquency	Default classification; recovery team engagement; legal assessment; security review

3.5.5 Monitoring Frequency

- **Automated surveillance:** Daily via payment monitoring systems
- **Manual review trigger:** Upon any payment received after due date
- **Collections engagement:** Immediate upon 1-day delinquency (friendly reminder); escalating at 30, 60, and 90 days

3.6 Indicator 5: Missed Installments

3.6.1 Definition A missed installment is a more severe condition than a late payment. It is recorded when:

- The borrower fails to make any payment by the end of the billing cycle
- The borrower makes a partial payment that is less than the minimum contractual amount

- The borrower's automated payment instruction fails due to insufficient funds
- The borrower misses two or more consecutive payments

Missed installments are distinct from late payments in that they represent a complete failure to meet the contractual obligation rather than a delay in meeting it.

3.6.2 Business Interpretation A missed installment indicates that the borrower lacks the liquidity or willingness to meet the contractual obligation. This may reflect:

- Severe cash flow constraints
- Prioritisation of other obligations over the bank's facility
- Dispute or dissatisfaction with the bank
- Financial distress or insolvency
- Fraudulent intent (particularly if accompanied by other suspicious behaviour)

The pattern of missed installments is critical. A single missed installment may be an anomaly. Multiple consecutive missed installments indicate a trajectory toward default.

3.6.3 Risk Implications

Missed Installment Pattern	Risk Implication
Single missed installment	High risk; immediate engagement required
Two consecutive missed installments	Very high risk; probable default within 90 days
Three or more consecutive missed installments	Critical risk; default has effectively occurred
Partial payment pattern	High risk; indicates inability to meet full obligation
Failed automated payment	Moderate to high risk; indicates account liquidity issues

3.6.4 Recommended Actions

Condition	Action
Single missed installment	Immediate collections call; assess reason; offer payment plan; document
Two consecutive missed installments	Senior credit officer review; formal demand letter; restructuring or workout assessment
Three or more consecutive missed installments	Default classification; recovery team full engagement; legal proceedings preparation; security enforcement assessment
Partial payment pattern	Enhanced monitoring; assess total indebtedness; consider consolidation or restructuring
Failed automated payment	Immediate contact; verify account status; assess liquidity; offer alternative payment methods

3.6.5 Monitoring Frequency

- **Automated surveillance:** Daily via payment monitoring systems
- **Collections engagement:** Immediate upon missed installment
- **Escalation:** Automatic escalation to Senior Credit Officer upon second consecutive missed installment

3.7 Indicator 6: Increasing Credit Utilisation

3.7.1 Definition Credit utilisation measures the proportion of available revolving credit that a borrower has drawn. It is calculated as:

```
Credit Utilisation = (Total Revolving Balance / Total Revolving Limit) × 100%
```

Increasing credit utilisation is observed when:

- The borrower's credit utilisation ratio increases by 15 percentage points or more from the level recorded at origination
- The borrower's credit utilisation exceeds 70% across all revolving facilities
- The borrower is approaching or has exceeded credit limits on one or more facilities

3.7.2 Business Interpretation High or increasing credit utilisation indicates that the borrower is increasingly reliant on credit to meet expenses or obligations. This may reflect:

- Living beyond means
- Income insufficient to cover expenses
- Financial distress leading to credit dependency
- Lack of alternative liquidity sources

Borrowers with high utilisation have limited capacity to absorb further financial shocks and may be one unexpected expense away from default.

3.7.3 Risk Implications

Utilisation Level	Risk Implication
Below 30%	Low risk; comfortable credit capacity
30% –50%	Moderate risk; normal usage pattern
50% –70%	Elevated risk; increasing reliance on credit
70% –90%	High risk; limited capacity; vulnerability to shocks
Above 90% or maxed out	Very high risk; severe financial distress likely

3.7.4 Recommended Actions

Condition	Action
Utilisation increase 15-25 percentage points	Enhanced monitoring; flag for next review; assess other EWIs
Utilisation increase 25-40 percentage points	Manual review; request updated financial information; consider limit management

Table 15 – continued

Condition	Action
Utilisation above 70%	Quarterly review; assess total indebtedness; consider debt consolidation discussion
Utilisation above 90% or maxed out	Immediate senior credit officer review; consider restructuring; initiate early collections engagement

3.7.5 Monitoring Frequency

- **Automated surveillance:** Monthly via credit bureau data refresh
- **Manual review trigger:** Upon utilisation increase exceeding 15 percentage points
- **Formal reassessment:** Quarterly for borrowers with utilisation above 70%

3.8 Indicator 7: New Borrowing

3.8.1 Definition New borrowing is observed when a borrower obtains additional credit facilities from Stratum Capital Bank or other lenders after the origination of the monitored facility. New borrowing may be identified through:

- Credit bureau enquiry records
- New account openings visible on credit bureau reports
- Increased credit limits on existing facilities
- Internal cross-sell or upsell records
- Customer self-disclosure

The bank monitors both the number of new facilities and the total additional indebtedness.

3.8.2 Business Interpretation New borrowing may be benign (e.g., a mortgage for a primary residence) or concerning (e.g., multiple payday loans or credit cards). The risk interpretation depends on:

- The type and purpose of new credit
- The total additional indebtedness relative to income
- The timing (new borrowing shortly after origination is more concerning)
- The lender type (subprime or payday lending is highly concerning)
- The borrower's stated purpose vs. actual usage

Rapid new borrowing, particularly of high-cost or unsecured credit, indicates that the borrower may be experiencing financial distress and is seeking credit to cover existing obligations.

3.8.3 Risk Implications

New Borrowing Pattern	Risk Implication
Single new facility, secured, conservative LTV	Low to moderate risk; verify DTI impact
Multiple new facilities within 6 months	High risk; indicates potential over-indebtedness
New subprime or payday borrowing	Very high risk; indicates severe financial distress

Table 16 – continued

New Borrowing Pattern	Risk Implication
New borrowing immediately after origination	High risk; may indicate application fraud or immediate distress
Significant increase in total indebtedness	High risk; reassess serviceability comprehensively

3.8.4 Recommended Actions

Condition	Action
Single new facility, secured	Verify via credit bureau; update DTI calculation; note for next review
Multiple new facilities	Manual review; comprehensive DTI reassessment; consider covenant amendment
Subprime or payday borrowing	Immediate senior credit officer review; enhanced monitoring; consider early intervention
New borrowing immediately after origination	Fraud assessment; enhanced monitoring; verify application accuracy
Significant indebtedness increase	Immediate review; reassess grade; consider security enhancement or restructuring

3.8.5 Monitoring Frequency

- **Automated surveillance:** Monthly via credit bureau data refresh
- **Manual review trigger:** Upon any new facility appearing on credit bureau
- **Formal reassessment:** Immediate upon detection of subprime or payday borrowing

3.9 Indicator 8: Frequent Credit Applications

3.9.1 Definition Frequent credit applications are observed when a borrower generates multiple credit enquiry records (hard enquiries) on their credit bureau file within a defined period. The bank defines frequent credit applications as:

- Two or more hard enquiries within 30 days
- Three or more hard enquiries within 90 days
- Five or more hard enquiries within 12 months

Hard enquiries are distinguished from soft enquiries (which do not affect credit scores and are not visible to other lenders) and include:

- Loan applications
- Credit card applications
- Mortgage applications
- Credit limit increase requests
- Utility or telecommunications credit checks (where reported)

3.9.2 Business Interpretation Frequent credit applications indicate that the borrower is actively seeking credit from multiple sources. This may reflect:

- Financial distress and urgent need for liquidity
- Rejection by other lenders (implying that other institutions have identified risk)
- Shopping for credit without clear purpose
- Potential fraud or identity theft (if applications are unrecognised)
- Planned major expenditure (e.g., home purchase, which may be benign)

The timing and pattern of enquiries are critical. A cluster of enquiries within a short period is more concerning than enquiries spread over a longer period.

3.9.3 Risk Implications

Enquiry Pattern	Risk Implication
1-2 enquiries in 90 days	Low risk; normal credit shopping behaviour
3-4 enquiries in 90 days	Moderate risk; may indicate financial pressure
5+ enquiries in 90 days	High risk; likely distress or repeated rejection
3+ enquiries in 30 days	Very high risk; urgent credit seeking behaviour
Enquiries across multiple product types	Moderate to high risk; may indicate indiscriminate borrowing

3.9.4 Recommended Actions

Condition	Action
1-2 enquiries in 90 days	Monitor; no action unless combined with other EWIs
3-4 enquiries in 90 days	Enhanced monitoring; assess whether new facilities were granted; update DTI
5+ enquiries in 90 days	Manual review; assess credit bureau for new accounts; consider borrower contact
3+ enquiries in 30 days	Immediate senior credit officer review; assess for fraud; consider early intervention
Unrecognised enquiries	Fraud investigation; contact borrower; verify identity

3.9.5 Monitoring Frequency

- **Automated surveillance:** Monthly via credit bureau data refresh
- **Manual review trigger:** Upon any enquiry pattern exceeding thresholds
- **Formal reassessment:** Immediate upon detection of 3+ enquiries in 30 days

3.10 Indicator 9: Bankruptcy Events

3.10.1 Definition Bankruptcy events include:

- Filing for personal bankruptcy (Chapter 7, Chapter 13, or equivalent jurisdiction-specific proceedings)
- Business insolvency or liquidation (for commercial borrowers)

- Receivership or administration appointment
- Debt agreement or personal insolvency agreement
- Court-ordered debt restructuring
- Bankruptcy-related public record entries on credit bureau files

Bankruptcy events may be identified through:

- Credit bureau public record monitoring
- Court record searches
- Customer self-disclosure
- Third-party notification (e.g., trustee, liquidator)
- Media monitoring (for commercial borrowers)

3.10.2 Business Interpretation A bankruptcy event represents the most severe form of financial distress. It indicates that the borrower has exhausted all other options for managing indebtedness and has sought legal protection from creditors.

Bankruptcy has profound implications for the bank:

- Automatic stay on collection activities (in most jurisdictions)
- Potential for significant loss given default
- Requirement to file claims within statutory timeframes
- Possible preference or fraudulent transfer clawback exposure
- Reputational risk if the bank is perceived to have contributed to the borrower's distress

3.10.3 Risk Implications

Bankruptcy Type	Risk Implication
Chapter 7 (Liquidation)	Critical; near-certain significant loss; immediate recovery action required
Chapter 13 (Reorganisation)	High risk; borrower may complete plan but default rate is elevated
Business insolvency	Critical; assess security and priority; immediate legal engagement
Debt agreement	High risk; may preserve some recovery but terms are typically unfavourable to creditors

3.10.4 Recommended Actions

Condition	Action
Bankruptcy filing detected	Immediate default classification; cease collection activities subject to automatic stay; legal department engagement; file proof of claim; assess security position

Table 21 – continued

Condition	Action
Chapter 13 filing	Monitor plan payments; assess feasibility; file objection if plan is inadequate
Business insolvency	Immediate security enforcement assessment; appoint receiver if secured; file claim; assess director guarantees
Debt agreement	Assess terms; consider objection if terms are prejudicial; monitor compliance

3.10.5 Monitoring Frequency

- **Automated surveillance:** Daily via credit bureau public record monitoring and court record searches
- **Manual review trigger:** Immediate upon detection of any bankruptcy event
- **Legal engagement:** Immediate; no delay permitted

3.11 Indicator 10: Credit Grade Deterioration

3.11.1 Definition Credit grade deterioration occurs when a borrower's internal credit grade declines from a higher grade to a lower grade. The bank's credit grading system comprises the following grades:

Grade	Description	Risk Level
AAA	Exceptional	Minimal
AA	Very Strong	Minimal
A	Strong	Low
BBB	Good	Low-Moderate
BB	Satisfactory	Moderate
B	Fair	Moderate-High
CCC	Weak	High
CC	Very Weak	Very High
C	Distressed	Critical
D	Default	Default

Grade deterioration is observed when:

- The borrower's grade declines by one or more notches
- The borrower's grade falls below the minimum grade for the product category
- The borrower's grade reaches CCC or below

Grade changes may be triggered by:

- Automated behavioural scoring updates
- Manual review outcomes
- External credit rating changes (for commercial borrowers)
- Deterioration in financial condition

- Covenant breach

3.11.2 Business Interpretation Credit grade deterioration is a composite indicator that reflects the bank's overall assessment of borrower creditworthiness. A grade decline indicates that one or more risk factors have worsened to a degree that the bank's risk assessment has changed materially.

Grade deterioration is significant because:

- It affects regulatory capital requirements (higher grades require more capital)
- It triggers provisioning requirements
- It affects pricing and margin calculations
- It may trigger covenant or contractual provisions
- It is a key input to portfolio quality metrics

3.11.3 Risk Implications

Grade Change	Risk Implication
One notch decline (e.g., A to BBB)	Moderate risk; enhanced monitoring warranted
Two notch decline (e.g., A to BB)	High risk; manual review and intervention likely required
Three or more notch decline	Very high risk; immediate senior credit officer review; consider restructuring or workout
Grade to CCC or below	Critical risk; default is probable; prepare recovery actions

3.11.4 Recommended Actions

Condition	Action
One notch decline	Enhanced monitoring; review all EWIs; document rationale for grade change
Two notch decline	Manual review; assess facility terms; consider covenant amendment or restructuring
Three or more notch decline	Immediate senior credit officer review; comprehensive reassessment; prepare workout or recovery plan
Grade to CCC or below	Default watchlist; recovery team notification; security assessment; legal review

3.11.5 Monitoring Frequency

- **Automated surveillance:** Monthly via behavioural scoring system updates
- **Manual review trigger:** Upon any grade decline
- **Formal reassessment:** Immediate upon two or more notch decline

3.12 Indicator 11: Sub-Grade Migration

3.12.1 Definition Within each credit grade, the bank assigns sub-grades (1, 2, or 3) that provide finer granularity of risk assessment. Sub-grade 1 represents the strongest position within the grade, while sub-grade 3 represents the weakest.

Sub-grade migration is observed when:

- A borrower moves from sub-grade 1 to sub-grade 2 or 3 within the same grade
- A borrower moves from sub-grade 2 to sub-grade 3
- A borrower's sub-grade reaches 3, indicating proximity to the next lower grade

Sub-grade migration is typically driven by:

- Minor changes in behavioural scores
- Slight deterioration in financial ratios
- Emerging but not yet severe risk indicators
- Changes in collateral values or security coverage

3.12.2 Business Interpretation Sub-grade migration is an early signal of potential grade deterioration. It indicates that risk factors are trending negatively even if they have not yet reached the threshold for a full grade change.

Sub-grade migration is valuable because:

- It enables earlier intervention than grade-level changes
- It provides portfolio managers with leading indicators of future grade deterioration
- It supports more granular portfolio segmentation and monitoring intensity allocation

3.12.3 Risk Implications

Sub-Grade Migration	Risk Implication
$1 \to 2$	Low to moderate risk; early warning; enhanced monitoring
$2 \to 3$	Moderate to high risk; likely grade deterioration within 6-12 months
$1 \to 3$	High risk; significant deterioration; manual review warranted
Sub-grade 3 sustained	Moderate risk; borrower is at the boundary of the next lower grade

3.12.4 Recommended Actions

Condition	Action
$1 \to 2$ migration	Enhanced monitoring; flag for next review; assess trend

Table 26 – continued

Condition	Action
2 → 3 migration	Manual review; assess all EWIs; consider proactive customer contact
1 → 3 migration	Immediate manual review; comprehensive reassessment; document action plan
Sustained sub-grade 3	Quarterly review; monitor closely for grade deterioration

3.12.5 Monitoring Frequency

- **Automated surveillance:** Monthly via behavioural scoring system updates
- **Manual review trigger:** Upon any sub-grade migration
- **Formal reassessment:** Quarterly for all sub-grade 3 borrowers

3.13 Summary of Early Warning Indicators and Monitoring Matrix

Indicator	Trigger Threshold	Automated Frequency	Manual Review Trigger	Escalation Threshold
Increasing DTI	+5 percentage points	Monthly	+5 percentage points	+15 percentage points or max threshold exceeded
Income Reduction	-10% from baseline	Quarterly	-10%	-20%
Employment Instability	Any change	Monthly	Any change	Unemployment > 30 days or employer insolvency
Late Payments	1 day past due	Daily	1 day past due	30 days past due
Missed Installments	Any missed payment	Daily	Any missed payment	2 consecutive missed installments
Increasing Credit Utilisation	+15 percentage points	Monthly	+15 percentage points	Above 90% or maxed out
New Borrowing	Any new facility	Monthly	Any new facility	Subprime or payday borrowing
Frequent Credit Applications	2+ in 30 days; 3+ in 90 days	Monthly	Threshold breach	3+ in 30 days
Bankruptcy Events	Any filing	Daily	Immediate	Immediate (all types)
Credit Grade Deterioration	Any notch decline	Monthly	Any decline	2+ notch decline
Sub-Grade Migration	Any migration	Monthly	Any migration	1 → 3 migration

4. Borrower Risk Migration

4.1 Risk Migration Framework

Borrower risk is not static. Over the life of a credit facility, borrowers may migrate between risk categories as their circumstances, behaviour, and external conditions change. The bank classifies borrowers into four risk migration categories:

- **Low Risk:** Borrowers with strong credit profiles, stable financial conditions, and consistent payment behaviour
- **Moderate Risk:** Borrowers with acceptable credit profiles but with emerging risk factors or minor performance issues
- **High Risk:** Borrowers with significant risk factors, deteriorating financial conditions, or payment difficulties
- **Critical Risk:** Borrowers at or near default, with severe financial distress, or in formal insolvency proceedings

Risk migration is a dynamic process. Borrowers may improve (migrate to lower risk categories) or deteriorate (migrate to higher risk categories). The bank's monitoring framework is designed to detect and respond to migration in both directions.

4.2 Low Risk Category

4.2.1 Definition Low Risk borrowers are characterised by:

- Credit grades of A or higher (AAA, AA, A)
- Consistent on-time payment history (no late payments in 12 months)
- Stable or improving financial condition
- DTI below 30% (consumer) or appropriate thresholds for commercial
- Employment stability (no changes in 24 months)
- Credit utilisation below 30%
- No new borrowing of concern
- No credit bureau enquiries beyond normal levels
- No bankruptcy or legal proceedings

4.2.2 Causes of Low Risk Classification Low Risk classification typically results from:

- Strong origination credit quality
- Conservative debt levels relative to income
- Stable employment and income
- Prudent financial management
- Adequate collateral or security coverage

- Favourable industry and macroeconomic conditions

4.2.3 Operational Response

Aspect	Standard
Monitoring frequency	Annual review; quarterly automated surveillance
Manual review trigger	Significant EWI breach only
Customer contact	Routine (statements, annual relationship review)
Collections engagement	Not applicable unless payment missed
Grade review	Annual reaffirmation
Documentation	Standard monitoring file

4.2.4 Examples **Example 1:** A professional with a stable salary, mortgage at 25% LTV, no other debt, and consistent payment history for 3 years.

Example 2: A small business with steady revenue growth, conservative leverage, and consistent facility performance for 5 years.

4.3 Moderate Risk Category

4.3.1 Definition Moderate Risk borrowers are characterised by:

- Credit grades of BBB or BB
- Occasional minor payment issues (grace period or 1-30 days late, not recurrent)
- Stable but not improving financial condition
- DTI between 30% and 40% (consumer)
- Single employment change within 12 months
- Credit utilisation between 30% and 50%
- Limited new borrowing (single facility, conservative)
- 1-2 credit bureau enquiries in 90 days
- No bankruptcy or legal proceedings

4.3.2 Causes of Moderate Risk Classification Moderate Risk classification may result from:

- Minor financial stress (e.g., temporary income reduction)
- Emerging but not yet severe risk factors
- Single EWI breach without compounding factors
- Slight deterioration in financial ratios
- Change in personal circumstances (e.g., new job, relocation)
- Minor macroeconomic or industry headwinds

4.3.3 Operational Response

Aspect	Standard
Monitoring frequency	Semi-annual review; monthly automated surveillance
Manual review trigger	Any EWI breach
Customer contact	Proactive (relationship check, financial wellness discussion)
Collections engagement	Friendly reminder if payment late
Grade review	Semi-annual reassessment
Documentation	Enhanced monitoring file with EWI tracking

4.3.4 Examples **Example 1:** A borrower who changed employers 6 months ago with a 5% salary reduction, but maintains consistent payments and DTI of 35%.

Example 2: A business experiencing a 10% revenue decline due to industry conditions but maintaining debt service and conservative leverage.

4.4 High Risk Category

4.4.1 Definition High Risk borrowers are characterised by:

- Credit grades of B or CCC
- Recurrent payment issues (multiple 1-30 days late, or single 31-60 days late)
- Deteriorating financial condition
- DTI between 40% and 50% (consumer) or approaching covenant thresholds (commercial)
- Multiple employment changes or transition to less secure employment
- Credit utilisation between 50% and 70%
- Multiple new borrowing facilities or high-cost credit
- 3-4 credit bureau enquiries in 90 days
- No bankruptcy but significant financial distress indicators

4.4.2 Causes of High Risk Classification High Risk classification typically results from:

- Significant financial stress (e.g., job loss, business decline)
- Multiple concurrent EWI breaches
- Deteriorating debt service capacity
- Over-indebtedness
- Industry or sectoral downturn
- Macroeconomic recession
- Poor financial management or credit discipline
- Collateral value decline

4.4.3 Operational Response

Aspect	Standard
Monitoring frequency	Quarterly review; monthly automated surveillance with weekly manual review
Manual review trigger	Any EWI breach; immediate upon payment delinquency
Customer contact	Intensive (monthly check-ins, financial counselling offer)
Collections engagement	Early collections engagement upon any delinquency
Grade review	Quarterly reassessment
Documentation	Comprehensive monitoring dossier with action plans
Escalation	Automatic escalation to Senior Credit Officer upon any deterioration

4.4.4 Examples **Example 1:** A borrower with two consecutive job changes in 12 months, DTI of 45%, credit utilisation at 65%, and two late payments in 6 months.

Example 2: A business with declining revenue for 18 months, covenant breach on interest coverage ratio, and reliance on revolving credit for working capital.

4.5 Critical Risk Category

4.5.1 Definition Critical Risk borrowers are characterised by:

- Credit grades of CC, C, or D
- Severe payment delinquency (60+ days past due, or multiple missed installments)
- Critical financial distress (DTI above 50%, or insolvency)
- Unemployment or business failure
- Credit utilisation above 90% or maxed out
- Bankruptcy, insolvency, or legal proceedings
- Fraud or criminal activity suspicion
- Security enforcement triggers

4.5.2 Causes of Critical Risk Classification Critical Risk classification results from:

- Severe financial distress or insolvency
- Prolonged unemployment or business failure
- Multiple severe EWI breaches
- Fraud or misrepresentation
- Collateral value collapse
- Catastrophic personal or business events
- Systemic macroeconomic crisis

4.5.3 Operational Response

Aspect	Standard
Monitoring frequency	Weekly review; daily payment surveillance
Manual review trigger	Immediate upon any event
Customer contact	Collections-focused; legal counsel involvement
Collections engagement	Full collections and recovery engagement
Grade review	Immediate upon any change; default classification if applicable
Documentation	Full recovery dossier with legal documentation
Escalation	Immediate escalation to Recovery & Collections Department, Legal, and Risk Committee

4.5.4 Examples **Example 1:** A borrower who has been unemployed for 60 days, has missed three consecutive payments, has maxed out all credit cards, and has filed for bankruptcy.

Example 2: A business that has ceased trading, has missed two quarterly loan payments, has breached all financial covenants, and is in creditor administration.

4.6 Risk Migration Triggers and Pathways

Borrowers may migrate between categories based on defined triggers. The following table summarises the principal migration pathways:

From	To	Typical Triggers	Timeframe
Low	Moderate	Single EWI breach; minor payment issue; employment change	3-6 months
Low	High	Multiple EWIs; significant financial deterioration	6-12 months
Low	Critical	Catastrophic event; fraud; immediate insolvency	Immediate
Moderate	Low	EWI resolution; improved financial condition; stable performance	6-12 months
Moderate	High	Multiple EWIs; recurrent payment issues; DTI deterioration	3-6 months
Moderate	Critical	Severe distress; job loss; bankruptcy filing	1-3 months
High	Moderate	Successful intervention; restructuring; improved performance	6-12 months
High	Low	Full recovery; sustained improvement; all EWIs resolved	12-24 months
High	Critical	Default; insolvency; security enforcement	1-6 months
Critical	High	Successful workout; restructuring completion; resumed payments	6-12 months
Critical	Moderate	Full recovery from workout; sustained performance	12-24 months
Critical	Low	Rare; typically requires full debt settlement and new origination	24+ months

4.7 Governance of Risk Migration Decisions

Risk migration decisions must be:

- **Documented:** All migration decisions must be recorded with rationale and supporting evidence
- **Authorised:** Grade changes require approval by the appropriate authority level (per Delegated Lending Authority Matrix)
- **Reviewed:** All migration decisions are subject to second-line review by Portfolio Monitoring Unit
- **Challenged:** Risk management may challenge migration decisions that appear inconsistent with evidence
- **Audited:** Migration decisions are subject to internal audit review

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5. Portfolio Monitoring Framework

5.1 Overview

The portfolio monitoring framework defines the systematic processes by which the bank reviews and assesses its credit portfolio at various frequencies and depths. The framework is designed to ensure that:

- All accounts receive appropriate monitoring intensity based on risk level
- Emerging risks are identified at the earliest possible stage
- Management actions are timely and proportionate
- Portfolio-level trends are identified and reported to senior management and the Board
- Regulatory and audit requirements are satisfied

The framework comprises six review types:

1. Monthly Reviews
2. Quarterly Reviews
3. Annual Reviews
4. Risk-Based Reviews
5. Exception Reviews
6. Portfolio Stress Reviews

5.2 Monthly Reviews

5.2.1 Purpose Monthly reviews provide regular surveillance of portfolio performance and early warning indicators. They are designed to detect emerging issues at the earliest stage and ensure that routine monitoring obligations are fulfilled.

5.2.2 Scope Monthly reviews cover:

- All accounts with payment activity in the month
- All accounts with triggered EWIs
- All accounts in Moderate, High, or Critical Risk categories
- All accounts with recent grade or sub-grade changes

- Newly originated accounts (first 3 months)

5.2.3 Process

Step	Activity	Responsible Party	Deliverable
1	Automated EWI surveillance run	Risk Analytics Team	EWI exception report
2	Payment performance analysis	Portfolio Monitoring Unit	Delinquency report
3	Grade and sub-grade update	Risk Analytics Team	Grade migration report
4	Manual review of flagged accounts	Loan Officers	Monitoring notes
5	Escalation of critical issues	Loan Officers / Senior Credit Officers	Escalation memos
6	Monthly portfolio dashboard	Portfolio Monitoring Unit	Management dashboard
7	Review meeting	Senior Credit Officers	Meeting minutes and action register

5.2.4 Documentation Requirements

- EWI exception report with action items
- Delinquency report with ageing analysis
- Grade migration report with rationale
- Monitoring notes for all manually reviewed accounts
- Escalation records for all escalated accounts
- Monthly management dashboard

5.2.5 Timing Monthly reviews must be completed within 10 business days of month-end.

5.3 Quarterly Reviews

5.3.1 Purpose Quarterly reviews provide a more comprehensive assessment of borrower creditworthiness and facility performance. They include financial analysis, collateral reassessment, and covenant verification for applicable accounts.

5.3.2 Scope Quarterly reviews cover:

- All accounts in Moderate Risk category
- All accounts in High Risk category
- All accounts with two or more active EWIs
- All accounts with grade deterioration in the quarter
- All commercial accounts with financial covenant requirements
- All accounts with collateral-dependent facilities
- A representative sample of Low Risk accounts (minimum 5% of Low Risk portfolio)

5.3.3 Process

Step	Activity	Responsible Party	Deliverable
1	Financial statement analysis (commercial)	Credit Analysts	Financial analysis memo
2	Collateral value reassessment	Collateral Management Unit	Updated valuation report
3	Covenant compliance verification	Loan Officers	Covenant compliance certificate
4	Comprehensive EWI assessment	Portfolio Monitoring Unit	EWI assessment report
5	Grade reaffirmation or revision	Senior Credit Officers	Grade decision memo
6	Action plan development	Loan Officers	Account action plans
7	Quarterly portfolio report	Head of Credit Portfolio Management	Quarterly report to Risk Committee

5.3.4 Documentation Requirements

- Financial analysis memoranda for all commercial accounts reviewed
- Updated collateral valuations
- Covenant compliance certificates
- Comprehensive EWI assessment reports
- Grade decision documentation
- Account action plans for all accounts requiring intervention
- Quarterly portfolio report

5.3.5 Timing Quarterly reviews must be completed within 15 business days of quarter-end.

5.4 Annual Reviews

5.4.1 Purpose Annual reviews provide a comprehensive, formal reassessment of borrower creditworthiness equivalent in depth to the origination credit analysis. They are the principal mechanism for reaffirming or revising credit grades, facility terms, and risk assessments.

5.4.2 Scope Annual reviews cover:

- All accounts in the portfolio (100% coverage)
- All facility types and risk categories
- All commercial borrowers regardless of performance
- All consumer borrowers with facilities above a defined threshold (e.g., $50,000)
- A representative sample of smaller consumer facilities (minimum 10%)

5.4.3 Process

Step	Activity	Responsible Party	Deliverable
1	Updated financial information collection	Loan Officers	Complete updated file
2	Full credit analysis	Credit Analysts	Credit analysis memorandum
3	Updated credit bureau review	Loan Officers	Credit bureau report
4	Collateral revaluation (where applicable)	Collateral Management Unit	Updated valuation
5	Covenant reset and compliance review	Senior Credit Officers	Covenant schedule
6	Grade reaffirmation or revision	Senior Credit Officers / Credit Committee	Grade decision
7	Facility amendment consideration	Senior Credit Officers	Amendment recommendations
8	Annual portfolio quality assessment	Head of Credit Portfolio Management	Annual portfolio report
9	Board Risk Committee presentation	Chief Risk Officer	Board presentation

5.4.4 Documentation Requirements

- Complete updated credit file for all accounts
- Credit analysis memoranda
- Updated credit bureau reports
- Collateral valuation reports
- Covenant compliance and reset documentation
- Grade decision documentation
- Facility amendment documentation
- Annual portfolio quality report
- Board Risk Committee minutes

5.4.5 Timing Annual reviews must be completed within 30 business days of the account anniversary or fiscal year-end, as applicable.

5.5 Risk-Based Reviews

5.5.1 Purpose Risk-based reviews are triggered by specific events or conditions that indicate a material change in borrower risk. They are conducted outside the normal review cycle and provide immediate reassessment of creditworthiness.

5.5.2 Trigger Events Risk-based reviews are triggered by:

- Any EWI breach exceeding escalation thresholds
- Payment delinquency exceeding 30 days

- Grade deterioration of two or more notches
- Borrower request for facility amendment or restructuring
- Material adverse change in borrower's financial condition
- Collateral value decline exceeding 20%
- Covenant breach
- Industry or sectoral crisis affecting the borrower
- Macroeconomic event with portfolio impact (e.g., recession, currency crisis)
- Regulatory or legal action against the borrower
- Fraud suspicion or confirmed fraud
- Natural disaster or catastrophic event affecting the borrower

5.5.3 Process

Step	Activity	Responsible Party	Deliverable
1	Trigger identification and logging	Portfolio Monitoring Unit	Trigger register entry
2	Immediate data collection	Loan Officers	Updated information pack
3	Emergency credit analysis	Credit Analysts	Emergency analysis memo
4	Risk assessment and grade decision	Senior Credit Officers	Risk assessment memo
5	Management action determination	Senior Credit Officers	Action plan
6	Escalation (if required)	Senior Credit Officers	Escalation pack
7	Implementation and monitoring	Loan Officers	Implementation record

5.5.4 Documentation Requirements

- Trigger register entry with timestamp
- Updated information pack
- Emergency credit analysis memorandum
- Risk assessment and grade decision documentation
- Management action plan
- Escalation documentation (if applicable)
- Implementation and monitoring records

5.5.5 Timing Risk-based reviews must be initiated within 2 business days of trigger identification and completed within 5 business days for High and Critical Risk accounts, and within 10 business days for Moderate Risk accounts.

5.6 Exception Reviews

5.6.1 Purpose Exception reviews are conducted when a borrower or facility falls outside standard policy parameters, requires a policy exception, or exhibits unusual characteristics that warrant special attention.

5.6.2 Scope Exception reviews cover:

- All accounts with approved policy exceptions
- All accounts with non-standard facility terms
- All accounts with complex or unusual collateral structures
- All accounts with cross-border or multi-jurisdictional elements
- All accounts with related-party or group exposures
- All accounts with significant concentration risk

5.6.3 Process

Step	Activity	Responsible Party	Deliverable
1	Exception identification	Portfolio Monitoring Unit	Exception register
2	Enhanced monitoring protocol	Senior Credit Officers	Enhanced monitoring plan
3	Quarterly exception assessment	Portfolio Monitoring Unit	Exception assessment report
4	Exception renewal or revocation	Credit Committee	Exception decision
5	Documentation and reporting	Portfolio Monitoring Unit	Exception management report

5.6.4 Documentation Requirements

- Exception register with all active exceptions
- Enhanced monitoring plans
- Quarterly exception assessment reports
- Exception renewal or revocation documentation
- Exception management report to Risk Committee

5.6.5 Timing Exception reviews are conducted quarterly for all active exceptions. New exceptions are reviewed immediately upon approval.

5.7 Portfolio Stress Reviews

5.7.1 Purpose Portfolio stress reviews assess the resilience of the credit portfolio under adverse macroeconomic, industry, or market conditions. They are designed to identify concentration risks, vulnerability to systemic shocks, and the adequacy of capital and provisions.

5.7.2 Scope Portfolio stress reviews cover:

- The entire credit portfolio
- Sector and industry concentrations
- Geographic concentrations
- Product and facility type concentrations
- Collateral type concentrations
- Risk grade distributions
- Maturity profiles

5.7.3 Scenarios The bank conducts stress testing under the following scenarios:

Scenario	Description	Parameters
Baseline	Current macroeconomic conditions	No change
Mild Recession	Moderate economic downturn	GDP -2%; unemployment +2%; property prices -10%
Severe Recession	Major economic contraction	GDP -5%; unemployment +5%; property prices -25%
Industry Crisis	Sector-specific collapse	Revenue -30% for affected sector; default rate +10%
Interest Rate Shock	Rapid rate increase	Base rate +300bps; DTI +10 percentage points
Property Market Crash	Real estate collapse	Property prices -40%; LTV deterioration
Combined Stress	Multiple simultaneous shocks	Combination of severe recession and property crash

5.7.4 Process

Step	Activity	Responsible Party	Deliverable
1	Scenario definition and calibration	Enterprise Risk Management	Scenario parameters
2	Portfolio data extraction	Risk Analytics Team	Portfolio data set
3	Stress test execution	Risk Analytics Team	Stress test results
4	Impact assessment	Head of Credit Portfolio Management	Impact assessment report
5	Capital and provision adequacy review	Chief Risk Officer	Capital adequacy assessment
6	Management action planning	Risk Committee	Action plan
7	Board reporting	Chief Risk Officer	Board report
8	Regulatory submission	Compliance Department	Regulatory submission

5.7.5 Documentation Requirements

- Scenario definition and calibration documentation
- Portfolio data extraction records
- Stress test methodology and results
- Impact assessment report
- Capital and provision adequacy assessment
- Management action plan
- Board report and minutes
- Regulatory submission documentation

5.7.6 Timing Portfolio stress reviews are conducted:

- Annually as part of the ICAAP (Internal Capital Adequacy Assessment Process)
- Quarterly for selected scenarios (rotating basis)
- Ad hoc upon significant macroeconomic or market events
- Within 10 business days of any material change in economic outlook

5.8 Monitoring Framework Governance

5.8.1 Roles and Responsibilities

Role	Responsibility
Board Risk Committee	Oversight of portfolio monitoring framework; approval of annual review schedule; review of stress test results
Chief Risk Officer	Overall accountability for portfolio monitoring; approval of monitoring policies; escalation of critical issues
Head of Credit Portfolio Management	Operational management of portfolio monitoring; resource allocation; quality assurance; reporting
Senior Credit Officers	Grade decisions; escalation management; review approval; exception management
Loan Officers	Day-to-day monitoring; customer contact; data collection; documentation; initial escalation
Credit Analysts	Financial analysis; credit assessment; scenario modelling; stress testing
Portfolio Monitoring Unit	EWI surveillance; exception tracking; reporting; quality control; process oversight
Risk Analytics Team	Automated surveillance; behavioural scoring; data extraction; stress test execution
Collateral Management Unit	Collateral valuation; security monitoring; LTV tracking; enforcement support
Recovery & Collections Department	Collections engagement; workout management; legal recovery; write-off processing
Internal Audit	Independent assurance; compliance testing; control assessment; recommendation
Compliance Department	Regulatory compliance monitoring; reporting; policy alignment; training

5.8.2 Quality Assurance The Portfolio Monitoring Unit conducts quality assurance on monitoring activities, including:

- Random sampling of monitoring files for completeness and accuracy
- Review of grade migration decisions for consistency
- Assessment of escalation timeliness
- Validation of EWI trigger accuracy
- Review of documentation quality

Quality assurance findings are reported quarterly to the Head of Credit Portfolio Management and annually to the Chief Risk Officer.

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6. Risk Escalation Procedures

6.1 Purpose of Escalation

Risk escalation ensures that deteriorating credit situations are brought to the attention of personnel with appropriate authority, expertise, and independence to make effective management decisions. Escalation is not merely a notification process; it is a governance mechanism that enables timely intervention, resource allocation, and strategic decision-making.

6.2 Escalation Levels and Thresholds

The bank operates a six-level escalation hierarchy. Each level has defined trigger conditions, response timeframes, and decision-making authority.

6.2.1 Level 1: Loan Officer

Attribute	Standard
Trigger Conditions	First EWI breach; grace period late payment; minor customer complaint; routine monitoring finding
Response Timeframe	Within 2 business days
Decision Authority	Routine monitoring actions; customer contact; documentation; initial assessment
Required Actions	Document finding; contact customer; assess severity; determine if further escalation warranted
Escalation to Level 2	If EWI is severe, multiple EWIs present, or customer unresponsive

6.2.2 Level 2: Branch Manager

Attribute	Standard
Trigger Conditions	Multiple EWIs; 1-30 days delinquency; moderate customer complaint; facility amendment request; collateral concern
Response Timeframe	Within 3 business days of Level 1 escalation or direct trigger
Decision Authority	Enhanced monitoring approval; customer meeting; preliminary restructuring discussion; resource allocation
Required Actions	Review monitoring file; approve monitoring plan; assign resources; determine if further escalation warranted
Escalation to Level 3	If deterioration continues, delinquency reaches 30 days, or complex restructuring required

6.2.3 Level 3: Senior Credit Officer

Attribute	Standard
Trigger Conditions	30-60 days delinquency; grade deterioration of 2+ notches; significant EWI breach; covenant breach; restructuring request; security concern
Response Timeframe	Within 2 business days of Level 2 escalation or direct trigger
Decision Authority	Grade revision; facility amendment; restructuring approval (within delegated limits); security enforcement initiation; collections engagement
Required Actions	Comprehensive credit reassessment; grade decision; management action plan; documentation; determine if further escalation warranted
Escalation to Level 4	If deterioration continues, delinquency reaches 60 days, or significant loss exposure

6.2.4 Level 4: Risk Committee

Attribute	Standard
Trigger Conditions	60-90 days delinquency; grade deterioration to CCC or below; multiple facility exposure; significant concentration risk; material loss exposure; systemic issue
Response Timeframe	Within 5 business days of Level 3 escalation or direct trigger
Decision Authority	Major restructuring approval; write-off recommendation (within limits); policy exception approval; capital allocation; strategic response

Table 44 – continued

Attribute	Standard
Required Actions	Full risk assessment; management action plan approval; resource allocation; regulatory notification assessment; determine if further escalation warranted
Escalation to Level 5	If default is imminent, insolvency proceedings, or significant regulatory concern

6.2.5 Level 5: Recovery Team

Attribute	Standard
Trigger Conditions	90+ days delinquency (default); bankruptcy filing; insolvency; security enforcement trigger; legal action required; confirmed fraud
Response Timeframe	Immediate upon Level 4 escalation or direct trigger
Decision Authority	Full collections and recovery management; legal proceedings; security enforcement; write-off recommendation; settlement negotiation
Required Actions	Default classification; recovery strategy development; legal engagement; security enforcement; provisioning; documentation
Escalation to Level 6	If regulatory breach, systemic issue, or significant reputational risk

6.2.6 Level 6: Compliance Department

Attribute	Standard
Trigger Conditions	Regulatory breach; consumer harm; unfair treatment allegation; data protection issue; significant reputational risk; systemic compliance failure
Response Timeframe	Immediate upon Level 5 escalation or direct trigger
Decision Authority	Regulatory reporting; investigation; remediation; policy amendment; disciplinary action recommendation; external communication
Required Actions	Investigation; regulatory notification; remediation plan; root cause analysis; policy review; reporting to Board

6.3 Escalation Process Flow

```
│   EWI Trigger   │
│   or Event      │
└────────┬────────┘
         │
         ▼
┌─────────────────┐     ┌─────────────────┐
│  Loan Officer   │─────│  Branch Manager │
│   (Level 1)     │     │   (Level 2)     │
└─────────────────┘     └─────────┬───────┘
         │                        │
         │                        ▼
         │               ┌─────────────────┐
         │               │ Senior Credit   │
         │               │ Officer (Level 3)│
         │               └────────┬────────┘
         │                        │
         │                        ▼
         │               ┌─────────────────┐
         │               │  Risk Committee │
         │               │   (Level 4)     │
         │               └────────┬────────┘
         │                        │
         │                        ▼
         │               ┌─────────────────┐
         │               │  Recovery Team  │
         │               │   (Level 5)     │
         │               └────────┬────────┘
         │                        │
         │                        ▼
         │               ┌─────────────────┐
         │               │   Compliance    │
         │               │  (Level 6)      │
         │               └─────────────────┘
         │
         │
         │ (Direct escalation path for severe events)
         └───────────────────────────────────────────────►
```

6.4 Escalation Documentation Requirements

Every escalation must be documented in the Escalation Register with the following information:

Field	Description
Escalation ID	Unique identifier
Date and Time	Timestamp of escalation
Account Reference	Borrower and facility identifiers
Trigger Event	Description of the event or EWI that triggered escalation
Escalation Level	Level 1 through 6
Escalating Officer	Name and role of person escalating
Receiving Officer	Name and role of person receiving escalation
Assessment Summary	Summary of the situation and risk assessment

Table 47 – continued

Field	Description
Recommended Actions	Actions recommended by escalating officer
Decision	Decision made by receiving officer
Action Plan	Detailed action plan with timelines
Follow-up Date	Date for next review or status update
Closure Date	Date when escalation is resolved
Closure Rationale	Reason for closure

6.5 Escalation Timeframes and Service Levels

Escalation Level	Maximum Response Time	Maximum Resolution Time	Review Frequency
Level 1	2 business days	5 business days	Weekly until resolved
Level 2	3 business days	10 business days	Weekly until resolved
Level 3	2 business days	15 business days	Bi-weekly until resolved
Level 4	5 business days	30 business days	Monthly until resolved
Level 5	Immediate	60 business days	Weekly until strategy set
Level 6	Immediate	90 business days	Bi-weekly until resolved

6.6 Escalation Quality and Compliance

The Portfolio Monitoring Unit monitors escalation quality and compliance through:

- Review of escalation documentation completeness
- Assessment of response time adherence
- Analysis of escalation outcomes
- Identification of escalation bypass or delay
- Reporting to the Head of Credit Portfolio Management

Escalation compliance is a key performance indicator for Loan Officers and Senior Credit Officers.

---

7. Collection & Recovery Guidance

7.1 Purpose and Principles

Collection and recovery activities are the final stages of credit lifecycle management for non-performing or distressed facilities. The purpose of collection and recovery is to maximise the recovery of outstanding debt while:

- Treating customers fairly and in accordance with regulatory requirements
- Preserving the bank's reputation and customer relationships where possible

- Minimising losses and maximising recovery rates
- Ensuring compliance with all applicable laws, regulations, and internal policies

The bank's collection and recovery activities are governed by the following principles:

- **Proportionality:** Collection actions must be proportionate to the debt amount, borrower circumstances, and delinquency severity.
- **Fairness:** All borrowers must be treated fairly, respectfully, and without harassment or undue pressure.
- **Transparency:** Borrowers must be informed clearly of their obligations, the consequences of non-payment, and any available assistance.
- **Regulatory Compliance:** All collection activities must comply with applicable consumer protection, debt collection, privacy, and financial services laws.
- **Documentation:** All collection activities must be documented comprehensively for audit, regulatory, and legal purposes.

7.2 Collection and Recovery Stages

The bank's collection and recovery process comprises the following stages:

1. Friendly Reminder
2. Payment Follow-up
3. Restructuring
4. Settlement
5. Legal Recovery
6. Loan Write-off
7. Recovery Monitoring

7.3 Stage 1: Friendly Reminder

7.3.1 Definition A friendly reminder is the initial contact with a borrower who has missed a payment or is approaching the due date. The purpose is to prompt payment, understand the reason for non-payment, and offer assistance if the borrower is experiencing difficulty.

7.3.2 Trigger

- Payment not received by due date
- Payment not received by end of grace period
- Automated payment failure

7.3.3 Methods

Method	Timing	Content
SMS reminder	Due date + 1 day	Payment due reminder with amount and payment options
Email reminder	Due date + 2 days	Detailed payment reminder with account details and contact information
Phone call	Due date + 3-5 days	Personal contact to understand reason and offer assistance

Table 49 – continued

Method	Timing	Content
Letter	Due date + 7 days	Formal reminder with payment instructions and consequences of non-payment

7.3.4 Tone and Approach

- Courteous and professional
- Non-judgmental
- Helpful and solution-oriented
- Clear about obligations but not threatening
- Offer of payment assistance or hardship options

7.3.5 Documentation

- Contact attempt log (date, time, method, outcome)
- Borrower response and reason for non-payment
- Payment commitment or arrangement agreed
- Follow-up actions

7.3.6 Escalation Escalate to Payment Follow-up if:

- No response after 3 contact attempts
- Borrower refuses to pay without valid dispute
- Borrower indicates inability to pay
- Payment arrangement is breached

7.4 Stage 2: Payment Follow-up

7.4.1 Definition Payment follow-up involves more intensive collection activity for borrowers who have not responded to friendly reminders or who have indicated payment difficulty. The purpose is to secure payment or establish a formal payment arrangement.

7.4.2 Trigger

- No payment received within 15 days of due date
- Friendly reminder attempts unsuccessful
- Borrower indicates inability to pay full amount
- Payment arrangement breached

7.4.3 Methods

Method	Timing	Content
Phone call	Every 3-5 days	Personal contact; assess financial situation; negotiate payment plan

Table 50 – continued

Method	Timing	Content
Letter	Every 7 days	Formal demand with escalating tone; payment options; consequences
Email/SMS	Every 3 days	Reminder with payment options and contact details
Home visit	If appropriate and permitted	Personal contact; assess circumstances; offer assistance

7.4.4 Tone and Approach

- Firm but professional
- Emphasis on obligation and consequences
- Continued offer of assistance and payment arrangements
- Documentation of all communications
- Compliance with regulatory requirements (no harassment, no unreasonable contact frequency)

7.4.5 Payment Arrangement Options

Arrangement	Description	Approval Authority
Payment deferral	Temporary suspension of payments (typically 1-3 months)	Senior Credit Officer
Reduced payment plan	Temporary reduction in payment amount	Senior Credit Officer
Term extension	Extension of facility term to reduce instalments	Credit Committee
Interest-only period	Temporary interest-only payments	Senior Credit Officer
Consolidation	Combination of multiple facilities into single facility	Credit Committee

7.4.6 Documentation

- Detailed contact log
- Financial assessment of borrower
- Payment arrangement documentation (if agreed)
- Borrower hardship declaration (if applicable)
- Security assessment update
- Escalation recommendation

7.4.7 Escalation Escalate to Restructuring if:

- Borrower has long-term inability to meet original terms
- Payment arrangement is not viable
- Borrower requests formal restructuring

- Security concerns emerge

Escalate to Legal Recovery if:

- Borrower refuses all contact or engagement
- Fraud is suspected
- Security enforcement is required
- Debt is significant and recovery prospects are poor without legal action

7.5 Stage 3: Restructuring

7.5.1 Definition Restructuring involves the formal modification of facility terms to enable the borrower to meet obligations under revised conditions. Restructuring is appropriate when the borrower has a viable long-term prospect of repayment but cannot meet original terms due to temporary or structural financial difficulty.

7.5.2 Trigger

- Borrower has demonstrated long-term payment difficulty
- Payment follow-up has not resolved the situation
- Borrower has requested restructuring
- Senior Credit Officer or Credit Committee determines restructuring is the optimal recovery strategy

7.5.3 Restructuring Types

Type	Description	Applicability
Term extension	Extension of repayment period	Borrower has reduced capacity but stable income
Rate reduction	Temporary or permanent reduction in interest rate	Market rates have fallen; borrower is distressed but viable
Principal deferral	Temporary deferral of principal repayments	Short-term cash flow difficulty
Consolidation	Combination of multiple facilities	Borrower has multiple facilities with different terms
Security enhancement	Additional collateral or guarantor	Borrower has insufficient security coverage
Debt-for-equity swap	Conversion of debt to equity (commercial)	Business is viable but over-leveraged
Forbearance	Temporary suspension or reduction of obligations	Short-term distress with expected recovery

7.5.4 Restructuring Assessment Criteria Before approving restructuring, the bank must assess:

- **Viability:** Is the borrower likely to meet restructured terms?
- **Security:** Is security adequate and enforceable?
- **Documentation:** Are all legal requirements satisfied?
- **Regulatory:** Does restructuring comply with forbearance and provisioning rules?

- **Economic:** Is restructuring economically preferable to legal recovery or write-off?
- **Borrower Conduct:** Has the borrower acted in good faith?

7.5.5 Restructuring Approval Authority

Restructuring Type	Approval Authority
Minor amendment (term extension < 12 months, rate reduction < 100bps)	Senior Credit Officer
Moderate amendment (term extension 12-24 months, rate reduction 100-200bps)	Credit Committee
Major restructuring (term extension > 24 months, rate reduction > 200bps, principal reduction)	Board Risk Committee
Debt forgiveness or write-down	Board Risk Committee

7.5.6 Documentation

- Restructuring proposal with business case
- Updated credit analysis
- Security assessment
- Borrower financial information
- Restructuring agreement (legal documentation)
- Regulatory compliance checklist
- Provisioning impact assessment

7.5.7 Monitoring of Restructured Facilities Restructured facilities must be subject to enhanced monitoring:

- Monthly payment performance review
- Quarterly financial assessment (commercial)
- Enhanced EWI surveillance
- Grade assignment reflecting elevated risk
- Early intervention upon any payment deviation

7.5.8 Escalation Escalate to Settlement or Legal Recovery if:

- Restructured terms are breached
- Borrower circumstances deteriorate further
- Restructuring is not economically viable
- Security is inadequate or unenforceable

7.6 Stage 4: Settlement

7.6.1 Definition Settlement involves the negotiation of a lump-sum payment or agreed payment plan that is less than the full outstanding debt, in full and final satisfaction of the obligation. Settlement is appropriate when the bank determines that partial recovery is preferable to the cost and uncertainty of full legal recovery.

7.6.2 Trigger

- Legal recovery is unlikely to result in full recovery
- Borrower has offered a lump-sum settlement
- Cost of full recovery exceeds expected recovery amount
- Borrower has no viable long-term repayment capacity
- Time since default is significant and recovery prospects have diminished

7.6.3 Settlement Assessment Criteria Before approving settlement, the bank must assess:

- **Recovery Comparison:** Is settlement amount greater than expected legal recovery net of costs?
- **Borrower Capacity:** Does the borrower have the means to pay the settlement amount?
- **Legal Position:** Is the bank's legal position strong or weak?
- **Security Value:** Is security value sufficient to cover full debt or is shortfall likely?
- **Time Value:** Does delayed recovery reduce present value?
- **Regulatory:** Does settlement comply with provisioning and write-off policies?

7.6.4 Settlement Approval Authority

Settlement Amount	Approval Authority
Up to \$10,000	Senior Credit Officer
\$10,000 –\$50,000	Credit Committee
Above \$50,000	Board Risk Committee

7.6.5 Documentation

- Settlement proposal with business case
- Recovery comparison analysis
- Legal position assessment
- Security valuation
- Settlement agreement (legal documentation)
- Regulatory compliance checklist
- Write-off documentation (for difference between outstanding and settlement amount)

7.6.6 Escalation Escalate to Legal Recovery if:

- Settlement negotiations fail
- Borrower breaches settlement agreement
- Settlement is not economically viable
- Fraud or misrepresentation is discovered

7.7 Stage 5: Legal Recovery

7.7.1 Definition Legal recovery involves the initiation of formal legal proceedings to recover outstanding debt. This may include court action, security enforcement, bankruptcy proceedings, or other legal remedies available under applicable law.

7.7.2 Trigger

- Borrower has failed to respond to all collection attempts
- Restructuring or settlement is not viable
- Security enforcement is required
- Fraud or misrepresentation is confirmed
- Borrower has absconded or is uncontactable
- Debt is significant and legal recovery is economically justified

7.7.3 Legal Recovery Options

Option	Description	Applicability
Court action	Civil lawsuit for debt recovery	Unsecured or under-secured debt; borrower has assets
Security enforcement	Repossession or foreclosure of collateral	Secured debt; collateral has value
Bankruptcy petition	Formal insolvency proceedings	Borrower is insolvent; unsecured debt
Winding-up petition	Corporate liquidation	Commercial borrower; company insolvent
Garnishment	Court-ordered deduction from wages or accounts	Borrower has regular income or deposits
Charging order	Security over property or assets	Judgment obtained; need to secure debt

7.7.4 Legal Recovery Process

Step	Activity	Responsible Party	Timing
1	Legal assessment	Legal Department	Within 5 days of escalation
2	Recovery strategy	Recovery Manager	Within 10 days
3	Pre-legal demand	Legal Department	Within 15 days
4	Court filing	Legal Department	Upon borrower non-response
5	Judgment pursuit	Legal Department	Per court schedule
6	Enforcement	Legal Department / Enforcement Agents	Upon judgment
7	Recovery tracking	Recovery Manager	Ongoing

7.7.5 Documentation

- Legal assessment memorandum
- Recovery strategy and business case
- Pre-legal demand letter
- Court filings and pleadings
- Judgment documentation
- Enforcement records
- Cost tracking
- Recovery receipts

7.7.6 Escalation Escalate to Write-off if:

- Legal recovery is unsuccessful or uneconomic
- Borrower has no recoverable assets
- Cost of continued legal action exceeds expected recovery
- Statute of limitations is approaching
- Bankruptcy discharge is granted

7.8 Stage 6: Loan Write-off

7.8.1 Definition Loan write-off is the formal removal of a debt from the bank's balance sheet, reflecting the determination that recovery is no longer probable or economically viable. Write-off does not extinguish the debt; the bank may continue recovery efforts post-write-off.

7.8.2 Trigger

- Legal recovery is unsuccessful or abandoned
- Borrower has no recoverable assets
- Cost of continued recovery exceeds expected recovery
- Debt is statute-barred
- Bankruptcy discharge is granted
- Borrower is deceased with no estate
- Fraud is confirmed and recovery is impossible

7.8.3 Write-off Assessment Criteria Before recommending write-off, the bank must assess:

- **Recovery Exhaustion:** Have all reasonable recovery avenues been pursued?
- **Asset Assessment:** Does the borrower have any recoverable assets?
- **Cost-Benefit:** Does continued recovery cost exceed expected recovery?
- **Legal Limitations:** Is the debt statute-barred or otherwise unenforceable?
- **Regulatory:** Does write-off comply with provisioning and capital requirements?
- **Documentation:** Is all recovery documentation complete?

7.8.4 Write-off Approval Authority

Write-off Amount	Approval Authority
Up to $25,000	Credit Committee
$25,000 –$100,000	Board Risk Committee
Above $100,000	Board of Directors

7.8.5 Documentation

- Write-off recommendation with business case
- Recovery history and documentation
- Asset assessment
- Cost-benefit analysis

- Legal assessment
- Regulatory compliance checklist
- Board or committee approval minutes
- Accounting entries and journal vouchers

7.8.6 Post-Write-off Recovery The bank may continue recovery efforts after write-off:

- Post-write-off recovery is tracked separately
- Recoveries are credited to income
- Recovery efforts are proportionate to expected recovery
- Documentation is maintained for all post-write-off recovery activity

7.9 Stage 7: Recovery Monitoring

7.9.1 Definition Recovery monitoring is the ongoing oversight of recovery activities to ensure effectiveness, compliance, and optimal outcomes. Recovery monitoring applies to all accounts in collections, legal recovery, or post-write-off status.

7.9.2 Monitoring Activities

Activity	Frequency	Responsible Party
Recovery performance review	Monthly	Recovery Manager
Legal case review	Monthly	Legal Department
Security value reassessment	Quarterly	Collateral Management Unit
Recovery cost tracking	Monthly	Recovery Manager
Provisioning adequacy review	Quarterly	Head of Credit Portfolio Management
Recovery strategy effectiveness	Quarterly	Recovery Manager
Post-write-off recovery review	Quarterly	Recovery Manager

7.9.3 Recovery Metrics Recovery performance is measured by:

- Recovery rate (amount recovered / amount outstanding at default)
- Time to recovery
- Cost of recovery
- Recovery rate by collection stage
- Recovery rate by facility type
- Recovery rate by security type

7.9.4 Reporting Recovery monitoring results are reported:

- Monthly to the Head of Credit Portfolio Management
- Quarterly to the Risk Committee
- Annually to the Board Risk Committee
- As required to regulators

---

8. Portfolio Performance Metrics

8.1 Purpose of Performance Metrics

Portfolio performance metrics enable the bank to measure, monitor, and manage the quality and performance of its credit portfolio. These metrics provide:

- Early warning of portfolio deterioration
- Benchmarking against historical performance and peer institutions
- Input to strategic and tactical decision-making
- Regulatory reporting and compliance evidence
- Basis for incentive and performance management

This section defines the principal portfolio performance metrics used by Stratum Capital Bank and explains how managers should interpret each metric.

8.2 Default Rate

8.2.1 Definition The Default Rate measures the proportion of the portfolio that has entered default status during a defined period. Default is defined in accordance with the bank's Default Recognition Policy and regulatory requirements (typically 90 days past due for retail exposures, or earlier if the bank determines that the obligor is unlikely to pay).

```
Default Rate = (Number of Accounts in Default / Total Number of Accounts) × 100%
```

Or, using exposure amounts:

```
Default Rate = (Exposure in Default / Total Portfolio Exposure) × 100%
```

8.2.2 Interpretation

Default Rate Level	Interpretation
Below 1%	Excellent portfolio quality; low risk
1% –2%	Good portfolio quality; normal risk
2% –4%	Moderate portfolio quality; emerging risk concerns
4% –6%	Poor portfolio quality; significant risk management issues
Above 6%	Very poor portfolio quality; crisis conditions; immediate intervention required

8.2.3 Management Actions

Level	Action
Below 1%	Maintain current strategies; monitor for trends
1% –2%	Enhanced monitoring; review origination standards; assess sector concentrations
2% –4%	Immediate management review; tighten origination; intensify collections; stress test
4% –6%	Board-level review; strategic intervention; capital adequacy assessment; regulatory notification
Above 6%	Crisis management; emergency measures; potential portfolio restructuring; regulatory engagement

8.2.4 Reporting Frequency

- Monthly: Default rate by product, segment, and grade
- Quarterly: Trend analysis and comparison to prior periods
- Annually: Full analysis with peer comparison and strategic implications

8.3 Delinquency Rate

8.3.1 Definition The Delinquency Rate measures the proportion of the portfolio that is past due but not yet in default. The bank tracks delinquency at multiple stages:

```
Delinquency Rate (1-30 days) = (Exposure 1-30 DPD / Total Portfolio Exposure) × 100%
Delinquency Rate (31-60 days) = (Exposure 31-60 DPD / Total Portfolio Exposure) × 100%
Delinquency Rate (61-90 days) = (Exposure 61-90 DPD / Total Portfolio Exposure) × 100%
Total Delinquency Rate = (Total Past Due Exposure / Total Portfolio Exposure) × 100%
```

Where DPD = Days Past Due.

8.3.2 Interpretation Delinquency is a leading indicator of default. The 1-30 day bucket is particularly important as it provides early warning of emerging payment difficulties.

Delinquency Level	Interpretation
1-30 days: Below 2%	Healthy portfolio; minimal early warning concerns
1-30 days: 2% –4%	Moderate concern; some borrowers experiencing difficulty
1-30 days: 4% –6%	Significant concern; many borrowers under stress
1-30 days: Above 6%	Critical; widespread distress; default rate will rise
31-60 days: Above 1%	Concerning; significant proportion moving toward default
61-90 days: Above 0.5%	Very concerning; near-default exposures are elevated

8.3.3 Management Actions

Level	Action
Low delinquency	Maintain current collection strategies; monitor trends
Moderate delinquency	Intensify early collections; review payment processes; assess economic conditions
High delinquency	Emergency collections mobilisation; review origination standards; tighten credit policy
Critical delinquency	Crisis response; board engagement; regulatory notification; potential provisioning increase

8.3.4 Reporting Frequency

- Daily: Delinquency ageing report
- Weekly: Trend analysis by product and segment
- Monthly: Comprehensive delinquency report with EWI correlation
- Quarterly: Strategic analysis and forecasting

8.4 Portfolio at Risk (PaR)

8.4.1 Definition Portfolio at Risk measures the proportion of the portfolio that is past due by any amount, including grace period late payments. It is a broad measure of portfolio stress.

```
PaR = (Exposure with Any Past Due Amount / Total Portfolio Exposure) × 100%
```

The bank also tracks PaR by days past due bucket (PaR 1, PaR 30, PaR 60, PaR 90) to analyse the severity distribution.

8.4.2 Interpretation

PaR Level	Interpretation
Below 3%	Excellent; minimal portfolio stress
3% –5%	Good; some stress but manageable
5% –8%	Moderate; significant stress; intervention warranted
8% –12%	Poor; high stress; major risk management response required
Above 12%	Critical; portfolio crisis; emergency measures required

8.4.3 Management Actions Management actions are aligned with delinquency rate responses, with additional emphasis on:

- Early intervention for PaR 1 borrowers to prevent migration to higher buckets
- Root cause analysis of PaR trends
- Process improvement to reduce operational causes of delinquency (e.g., payment system failures)

8.4.4 Reporting Frequency

- Daily: PaR ageing report
- Monthly: PaR trend analysis

- Quarterly: Strategic PaR assessment

8.5 Recovery Rate

8.5.1 Definition The Recovery Rate measures the proportion of defaulted debt that is ultimately recovered through collections, restructuring, security enforcement, or legal action.

```
Recovery Rate = (Total Recoveries from Defaulted Accounts / Total Defaulted Exposure) × 100%
```

Recovery may be measured:

- Gross recovery (before collection costs)
- Net recovery (after collection costs)
- By recovery stage (friendly reminder, collections, legal, post-write-off)
- By facility type and security type

8.5.2 Interpretation

Recovery Rate	Interpretation
Above 80%	Excellent recovery performance; strong security or collections
60% –80%	Good recovery performance; acceptable for most portfolios
40% –60%	Moderate recovery performance; room for improvement
20% –40%	Poor recovery performance; significant losses; review security and collections
Below 20%	Very poor recovery performance; crisis conditions; major intervention required

8.5.3 Management Actions

Level	Action
Above 80%	Maintain strategies; benchmark and share best practices
60% –80%	Review collection strategies; assess security adequacy; optimise legal recovery
40% –60%	Major collections review; security enhancement; legal process improvement; staff training
20% –40%	Emergency collections restructuring; security policy review; potential external collection agency engagement
Below 20%	Crisis response; board engagement; regulatory notification; potential portfolio sale

8.5.4 Reporting Frequency

- Monthly: Recovery performance by cohort and stage

- Quarterly: Recovery rate trends and cost analysis
- Annually: Full recovery assessment with strategic recommendations

8.6 Charge-off Rate

8.6.1 Definition The Charge-off Rate measures the proportion of the portfolio that is written off during a defined period. It reflects the bank's ultimate loss experience.

```
Charge-off Rate = (Total Write-offs in Period / Average Portfolio Exposure in Period) × 100%
```

8.6.2 Interpretation

Charge-off Rate	Interpretation
Below 0.5%	Excellent; minimal losses
0.5% –1.5%	Good; normal loss experience
1.5% –3%	Moderate; elevated losses; review risk management
3% –5%	Poor; significant losses; major intervention required
Above 5%	Critical; unsustainable losses; crisis conditions

8.6.3 Management Actions

Level	Action
Below 0.5%	Maintain strategies; monitor for trends
0.5% –1.5%	Review provisioning adequacy; assess origination standards
1.5% –3%	Tighten origination; intensify collections; review security policies; increase provisions
3% –5%	Board-level review; strategic intervention; capital impact assessment; regulatory engagement
Above 5%	Crisis management; emergency measures; potential portfolio restructuring; regulatory notification

8.6.4 Reporting Frequency

- Monthly: Charge-off amount and rate
- Quarterly: Trend analysis and provisioning impact
- Annually: Full loss analysis with strategic implications

8.7 Approval Rate

8.7.1 Definition The Approval Rate measures the proportion of credit applications that are approved.

```
Approval Rate = (Number of Approved Applications / Total Number of Applications) × 100%
```

Or, using exposure amounts:

```
Approval Rate = (Approved Exposure / Total Applied Exposure) × 100%
```

8.7.2 Interpretation The Approval Rate must be interpreted in conjunction with portfolio quality metrics. A high approval rate with low defaults indicates efficient origination. A high approval rate with high defaults indicates lax standards.

Approval Rate	Default Rate	Interpretation
High	Low	Efficient origination; good risk selection
High	High	Lax standards; future losses likely; tighten immediately
Low	Low	Conservative standards; may be missing profitable opportunities
Low	High	Standards may be appropriate but other factors causing defaults (e.g., economic downturn)

8.7.3 Management Actions

Scenario	Action
High approval, low default	Maintain standards; consider selective expansion
High approval, high default	Immediate tightening of standards; review underwriting; reduce approval rate
Low approval, low default	Assess opportunity cost; consider selective loosening for low-risk segments
Low approval, high default	Review non-credit factors (e.g., economic conditions, collections effectiveness)

8.7.4 Reporting Frequency

- Monthly: Approval rate by product and channel
- Quarterly: Correlation with default rate and portfolio quality
- Annually: Strategic assessment of origination efficiency

8.8 Portfolio Concentration

8.8.1 Definition Portfolio Concentration measures the distribution of exposures across segments, sectors, products, geographies, and risk grades. Concentration is measured using the Herfindahl-Hirschman Index (HHI) or simple concentration ratios.

```
HHI = Σ (Exposure in Segment i / Total Exposure)²
```

The bank monitors concentration in:

- Industry sectors (commercial)
- Geographic regions
- Product types
- Risk grades

- Single-name exposures (large exposures)
- Related-party or group exposures

8.8.2 Interpretation

HHI Level	Interpretation
Below 0.15	Low concentration; well-diversified
0.15 –0.25	Moderate concentration; some diversification benefit
0.25 –0.35	High concentration; significant risk if dominant segment deteriorates
Above 0.35	Very high concentration; crisis vulnerability if dominant segment fails

8.8.3 Management Actions

Level	Action
Low concentration	Maintain diversification strategy; monitor for emerging concentrations
Moderate concentration	Monitor closely; consider diversification initiatives
High concentration	Active diversification required; limit new exposures in dominant segment; stress test
Very high concentration	Emergency diversification; board engagement; regulatory notification; potential portfolio sale

8.8.4 Reporting Frequency

- Monthly: Concentration metrics by segment
- Quarterly: HHI analysis and trend
- Annually: Strategic concentration assessment with stress testing

8.9 Risk Distribution

8.9.1 Definition Risk Distribution measures the proportion of the portfolio in each risk grade category. It provides insight into the overall risk profile of the portfolio.

```
Risk Distribution (Grade X) = (Exposure in Grade X / Total Portfolio Exposure) × 100%
```

8.9.2 Interpretation

Grade Distribution	Interpretation
>60% in Grades A and above	Conservative portfolio; low expected default rate
40% –60% in Grades A and above	Moderate portfolio; balanced risk and return
20% –40% in Grades A and above	Aggressive portfolio; higher expected default rate

Table 72 – continued

Grade Distribution	Interpretation
<20% in Grades A and above	Very aggressive or distressed portfolio; high expected losses
>10% in Grades CCC and below	High-risk portfolio; significant default risk; review urgently

8.9.3 Management Actions

Distribution	Action
Conservative	Maintain standards; consider selective opportunities for higher-yield exposure
Moderate	Monitor; maintain current strategy
Aggressive	Review origination standards; assess whether risk is adequately priced; tighten if necessary
Very aggressive	Immediate tightening; increase provisions; intensify monitoring; board review
High low-grade concentration	Emergency review; halt origination in high-risk segments; intensify collections; increase provisions

8.9.4 Reporting Frequency

- Monthly: Grade distribution report
- Quarterly: Migration analysis (how grades are changing over time)
- Annually: Strategic risk distribution assessment

8.10 Summary of Portfolio Metrics Dashboard

Metric	Frequency	Responsible Party	Primary Use
Default Rate	Monthly	Risk Analytics Team	Portfolio quality assessment; regulatory reporting
Delinquency Rate	Daily/Monthly	Portfolio Monitoring Unit	Early warning; collections management
Portfolio at Risk	Daily/Monthly	Portfolio Monitoring Unit	Portfolio stress measurement
Recovery Rate	Monthly	Recovery Manager	Collections effectiveness; loss estimation
Charge-off Rate	Monthly	Head of Credit Portfolio Management	Ultimate loss experience; provisioning

Table 74 – continued

Metric	Frequency	Responsible Party	Primary Use
Approval Rate	Monthly	Head of Retail/Commercial Lending	Origination efficiency; risk selection
Portfolio Concentration	Monthly	Enterprise Risk Management	Diversification; systemic risk
Risk Distribution	Monthly	Risk Analytics Team	Portfolio risk profile; capital allocation

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9. Enterprise Case Studies

9.1 Purpose of Case Studies

The following case studies illustrate realistic monitoring scenarios that portfolio management staff may encounter. Each case study demonstrates the application of the principles, indicators, and procedures defined in this handbook. These cases are designed to support training, decision-making, and the development of institutional knowledge.

9.2 Case Study 1: The Stable Professional

Borrower Profile:

- Name: Ms. Eleanor Vance
- Age: 34
- Occupation: Senior Accountant
- Employment: Same employer for 6 years
- Income: $95,000 per annum (stable)
- Facility: Personal loan, $25,000, 5-year term, originated 18 months ago
- Grade at Origination: A1
- Current Grade: A1
- Payment History: Perfect (no late payments)
- DTI at Origination: 22%
- Current DTI: 23%
- Credit Utilisation: 15%

Current Status: All indicators are stable. No EWIs triggered.

Emerging Risk: None identified.

Monitoring Decision: Continue standard annual review. No action required.

Recommended Action:

- Maintain annual review schedule
- Continue automated surveillance
- No manual review required

Business Justification: Ms. Vance exhibits all characteristics of a low-risk borrower. Stable employment, consistent payment history, conservative DTI, and low credit utilisation indicate no cause for concern. Standard monitoring is appropriate.

9.3 Case Study 2: The Job Changer

Borrower Profile:

- Name: Mr. David Chen
- Age: 29
- Occupation: Software Developer
- Employment: Changed employers 3 months ago
- Income: $78,000 per annum (previous: $82,000)
- Facility: Auto loan, $35,000, 4-year term, originated 12 months ago
- Grade at Origination: BBB1
- Current Grade: BBB2
- Payment History: One grace period late payment 2 months ago
- DTI at Origination: 32%
- Current DTI: 36%
- Credit Utilisation: 42%

Current Status: Minor deterioration. Employment change, slight income reduction, one late payment, DTI increase, and sub-grade migration from 1 to 2.

Emerging Risk: Employment instability and income reduction are emerging risks. The grace period late payment may indicate adjustment difficulty.

Monitoring Decision: Escalate to enhanced monitoring (Moderate Risk category). Conduct manual review.

Recommended Action:

- Contact borrower to verify new employment stability and income
- Request updated payslip and employment verification
- Assess whether late payment was isolated or indicative of trend
- Monitor monthly for next 6 months
- If DTI exceeds 40% or second late payment occurs, escalate to Senior Credit Officer

Business Justification: While the deterioration is not severe, the combination of employment change, income reduction, and payment lateness indicates emerging risk. Proactive engagement and enhanced monitoring will enable early intervention if deterioration continues.

9.4 Case Study 3: The Over-Utilised Borrower

Borrower Profile:

- Name: Ms. Sarah Mitchell
- Age: 41
- Occupation: Marketing Manager
- Employment: Same employer for 4 years
- Income: $88,000 per annum
- Facility: Personal loan, $20,000, 3-year term, originated 8 months ago
- Grade at Origination: A2
- Current Grade: A3
- Payment History: Perfect
- DTI at Origination: 28%
- Current DTI: 31%
- Credit Utilisation: 78% (increased from 25% at origination)

Current Status: Credit utilisation has increased significantly. Sub-grade migration from 2 to 3. No payment issues yet.

Emerging Risk: High and increasing credit utilisation indicates growing reliance on credit. Potential for financial distress if unexpected expense arises.

Monitoring Decision: Enhanced monitoring. Manual review required.

Recommended Action:

- Review credit bureau for new facilities or limit increases
- Contact borrower to discuss financial situation
- Assess whether utilisation increase is due to planned expenditure or distress
- If new subprime borrowing detected, escalate immediately to Senior Credit Officer
- Quarterly review for next 12 months

Business Justification: High credit utilisation is a leading indicator of financial distress. While payments are current, the borrower has limited capacity to absorb shocks. Early engagement may prevent future default.

9.5 Case Study 4: The Multiple Enquirer

Borrower Profile:

- Name: Mr. James O'Brien
- Age: 37
- Occupation: Construction Supervisor
- Employment: Same employer for 2 years

- Income: $72,000 per annum
- Facility: Personal loan, $15,000, 3-year term, originated 6 months ago
- Grade at Origination: BB1
- Current Grade: BB2
- Payment History: Perfect
- DTI at Origination: 35%
- Current DTI: 38%
- Credit Utilisation: 55%
- Credit Enquiries: 4 hard enquiries in the last 60 days

Current Status: Multiple recent credit enquiries indicate active credit seeking. DTI and utilisation have increased slightly.

Emerging Risk: Frequent credit applications may indicate financial pressure or rejection by other lenders. Risk of new borrowing that could impair serviceability.

Monitoring Decision: Enhanced monitoring. Manual review required.

Recommended Action:

- Review credit bureau for new accounts opened
- Assess total new indebtedness
- Update DTI calculation with any new facilities
- Contact borrower if new high-cost borrowing detected
- If DTI exceeds 40% or new payday borrowing detected, escalate to Senior Credit Officer
- Quarterly review for next 12 months

Business Justification: Frequent credit enquiries are an early warning indicator of financial distress. The borrower may be seeking credit to cover existing obligations. Early detection and intervention can prevent over-indebtedness and default.

9.6 Case Study 5: The Income Decline

Borrower Profile:

- Name: Ms. Priya Sharma
- Age: 45
- Occupation: Retail Store Manager
- Employment: Same employer for 8 years
- Income: $58,000 per annum (reduced from $65,000 at origination)
- Facility: Personal loan, $12,000, 3-year term, originated 14 months ago
- Grade at Origination: BBB2
- Current Grade: BB2

- Payment History: Two minor delinquencies (7 days and 12 days late) in last 4 months
- DTI at Origination: 33%
- Current DTI: 41%
- Credit Utilisation: 48%

Current Status: Income reduction of 10.8%, grade deterioration from BBB to BB, two late payments, DTI approaching threshold.

Emerging Risk: Significant income reduction with emerging payment difficulties. DTI is now in the elevated range.

Monitoring Decision: High Risk category. Immediate manual review. Escalate to Senior Credit Officer.

Recommended Action:

- Senior Credit Officer to conduct comprehensive review
- Assess whether income reduction is temporary or permanent
- Evaluate borrower's capacity to meet obligations under current terms
- Consider restructuring options (term extension, reduced payments)
- Enhanced monitoring (monthly) for next 6 months
- If third late payment occurs, initiate collections engagement

Business Justification: Income reduction combined with payment lateness and grade deterioration indicates significant risk. The borrower may be unable to sustain current obligations. Proactive restructuring may preserve the relationship and reduce ultimate loss.

9.7 Case Study 6: The Business Downturn

Borrower Profile:

- Name: Horizon Logistics Pty Ltd
- Industry: Transport and Logistics
- Turnover: $2.4 million per annum (reduced from $3.1 million)
- Facility: Commercial term loan, $450,000, 7-year term, originated 3 years ago
- Grade at Origination: A3
- Current Grade: B1
- Payment History: Perfect until last quarter; one 15-day late payment
- DSCR at Origination: 1.45x
- Current DSCR: 1.12x
- Gearing: 45% (increased from 35%)

Current Status: Revenue decline of 22.6%, grade deterioration, DSCR approaching covenant threshold (1.10x), one late payment.

Emerging Risk: Business revenue decline due to industry conditions. DSCR is near covenant breach. Further deterioration could trigger default.

Monitoring Decision: High Risk category. Immediate manual review. Escalate to Senior Credit Officer.

Recommended Action:

- Senior Credit Officer review with updated financial statements
- Assess industry outlook and business recovery prospects
- Review covenant compliance and waiver requirements
- Consider forbearance or restructuring if downturn is temporary
- Enhanced monitoring (monthly financial review)
- If DSCR falls below 1.10x, initiate covenant waiver or restructuring discussion

Business Justification: Commercial borrowers are exposed to industry and macroeconomic cycles. The revenue decline is significant and DSCR is near covenant breach. Early intervention through forbearance or restructuring may preserve the facility and avoid default.

9.8 Case Study 7: The Unemployed Borrower

Borrower Profile:

- Name: Mr. Thomas Wright
- Age: 52
- Occupation: Formerly Manufacturing Engineer (laid off 45 days ago)
- Employment: Unemployed for 45 days
- Income: $0 (previous: $68,000)
- Facility: Mortgage, $280,000, 25-year term, originated 5 years ago
- Grade at Origination: A2
- Current Grade: CCC1
- Payment History: Perfect until unemployment; missed last monthly payment
- DTI at Origination: 28%
- Current DTI: Unsustainable (no income)
- Credit Utilisation: 62%

Current Status: Unemployed for 45 days, missed one payment, grade deterioration to CCC, no current income.

Emerging Risk: Critical risk. Unemployment with missed payment and no alternative income. High probability of default without intervention.

Monitoring Decision: Critical Risk category. Immediate escalation to Senior Credit Officer and Recovery Team.

Recommended Action:

- Immediate Senior Credit Officer review
- Contact borrower to assess situation, job search progress, and savings
- Offer forbearance (payment deferral for 3 months) if borrower has reasonable job prospects
- If no forbearance viable, initiate early collections engagement
- Assess mortgage security (LTV, property value, market conditions)
- If second payment missed, initiate default classification and recovery proceedings
- Consider hardship assistance if regulatory requirements apply

Business Justification: Unemployment is a critical risk factor, particularly for a borrower in their 50s where re-employment may be challenging. The missed payment confirms distress. Immediate intervention is essential to preserve the security position and explore all recovery options.

9.9 Case Study 8: The Bankruptcy Filing

Borrower Profile:

- Name: Ms. Rebecca Foster
- Age: 38
- Occupation: Self-employed Consultant
- Employment: Business ceased trading 3 months ago
- Income: $0
- Facility: Business overdraft, $45,000 limit, $38,000 drawn, originated 2 years ago
- Grade at Origination: BB1
- Current Grade: D (Default)
- Payment History: Missed last 3 monthly payments
- Current Status: Filed for Chapter 7 bankruptcy 2 weeks ago

Current Status: Business failure, three missed payments, bankruptcy filing, default grade.

Emerging Risk: Default has occurred. Bankruptcy proceedings will determine recovery.

Monitoring Decision: Default. Immediate transfer to Recovery Team.

Recommended Action:

- Cease collection activities subject to automatic stay
- Legal department engagement for bankruptcy proceedings
- File proof of claim with bankruptcy trustee
- Assess security position (personal guarantee, business assets)
- Determine expected recovery based on bankruptcy estate
- If personal guarantee exists, assess guarantor's capacity
- Update provisioning to reflect expected loss
- Document recovery strategy

Business Justification: Bankruptcy filing triggers automatic legal protections and requires immediate cessation of collection activities. The bank must protect its position by filing claims and assessing security. Recovery will be determined by the bankruptcy process.

9.10 Case Study 9: The Collateral Decline

Borrower Profile:

- Name: Mr. Robert Kim
- Age: 48
- Occupation: Real Estate Investor
- Employment: Self-employed
- Income: $120,000 per annum (variable)
- Facility: Investment property loan, $520,000, 15-year term, originated 4 years ago
- Grade at Origination: BBB1
- Current Grade: BBB2
- Payment History: Perfect
- LTV at Origination: 65%
- Current LTV: 82% (property value declined from $800,000 to $635,000)
- DTI: 38%

Current Status: Property value decline of 20.6% has increased LTV from 65% to 82%. Sub-grade migration. Payments are current.

Emerging Risk: Collateral value decline has eroded security coverage. If property value continues to decline or borrower experiences income disruption, the bank may be under-secured.

Monitoring Decision: Enhanced monitoring. Manual review required. Consider covenant amendment.

Recommended Action:

- Obtain updated property valuation
- Assess local real estate market conditions
- Consider LTV covenant (e.g., maximum LTV of 80%)
- If LTV exceeds 80%, request additional collateral or principal reduction
- Enhanced monitoring (quarterly) for next 12 months
- If property value declines further, escalate to Senior Credit Officer

Business Justification: Collateral value is a critical component of credit risk for secured lending. The LTV increase from 65% to 82% significantly reduces the bank's security margin. Proactive covenant management protects the bank's position.

9.11 Case Study 10: The Fraud Suspect

Borrower Profile:

- Name: Mr. Alexander Petrov
- Age: 31
- Occupation: IT Contractor (unverified)
- Employment: Claimed 2-year history with current employer
- Income: Claimed $90,000 per annum
- Facility: Personal loan, $30,000, 3-year term, originated 4 months ago
- Grade at Origination: BB1
- Current Grade: BB2
- Payment History: One missed payment (month 3)
- DTI at Origination: 34% (claimed)
- Current DTI: Unknown (income unverified)
- Credit Enquiries: 6 hard enquiries in last 90 days
- New Borrowing: 2 new payday loans in last 60 days

Current Status: Missed payment, multiple credit enquiries, new payday borrowing, income unverified. Employment verification attempts have been unsuccessful.

Emerging Risk: High probability of application fraud. Borrower may have misrepresented income or employment. Payday borrowing indicates severe distress.

Monitoring Decision: High Risk category. Immediate manual review. Fraud investigation. Escalate to Senior Credit Officer and Compliance.

Recommended Action:

- Immediate Senior Credit Officer review
- Fraud investigation by Compliance Department
- Attempt independent employment and income verification
- Review application documentation for inconsistencies
- If fraud confirmed, initiate legal recovery and police notification
- If fraud not confirmed but distress evident, initiate collections and restructuring assessment
- Enhanced monitoring (weekly) during investigation

Business Justification: Fraud is a serious risk that undermines portfolio quality and regulatory compliance. The combination of unverified employment, missed payment, and payday borrowing is highly suspicious. Immediate investigation protects the bank's interests and deters future fraud.

9.12 Case Study 11: The Covenant Breach

Borrower Profile:

- Name: Pacific Manufacturing Ltd

- Industry: Industrial Equipment
- Turnover: $8.5 million per annum
- Facility: Revolving credit facility, $1.2 million, originated 2 years ago
- Grade at Origination: A3
- Current Grade: B1
- Payment History: Perfect
- Financial Covenants: Interest coverage ratio > 2.5x; Gearing < 40%
- Current Interest Coverage: 2.1x (breach)
- Current Gearing: 43% (breach)

Current Status: Two financial covenant breaches. Payments are current but financial condition has deteriorated.

Emerging Risk: Covenant breaches indicate financial stress. If not addressed, further deterioration could lead to payment default.

Monitoring Decision: High Risk category. Immediate manual review. Escalate to Senior Credit Officer.

Recommended Action:

- Senior Credit Officer review with updated financial statements
- Assess reasons for covenant breach (temporary or structural)
- Determine whether to grant covenant waiver or declare event of default
- If temporary, grant waiver with conditions (enhanced reporting, security, repayment schedule)
- If structural, consider facility restructuring or demand repayment
- Enhanced monitoring (monthly financial reporting)
- If covenants continue to breach, escalate to Credit Committee

Business Justification: Covenant breaches are contractual events that give the bank rights to accelerate or demand repayment. However, immediate enforcement may not be optimal if the breach is temporary. A measured response that protects the bank's position while preserving the relationship is often preferable.

9.13 Case Study 12: The Restructuring Success

Borrower Profile:

- Name: Ms. Catherine Doyle
- Age: 44
- Occupation: Nurse
- Employment: Same employer for 10 years
- Income: $62,000 per annum (stable)
- Facility: Personal loan, $18,000, 3-year term, originated 20 months ago
- Grade at Origination: BBB2

- Current Grade: BB2 (improved from CCC1 after restructuring)
- Payment History: Restructured 8 months ago after 2 missed payments; perfect since restructuring
- DTI at Origination: 30%
- Current DTI: 28%
- Credit Utilisation: 35%

Current Status: Borrower experienced temporary distress (medical emergency) 8 months ago, resulting in 2 missed payments and grade deterioration to CCC. Restructured with 6-month term extension and reduced payments. Since restructuring, all payments have been made on time. Grade has improved to BB2.

Emerging Risk: None. Borrower is demonstrating successful recovery from restructuring.

Monitoring Decision: Moderate Risk category. Continue enhanced monitoring. Quarterly review.

Recommended Action:

- Continue quarterly review for next 12 months
- If payments remain perfect for 12 months, consider grade improvement to BBB
- Maintain enhanced monitoring until sustained performance demonstrated
- Document restructuring success for institutional learning

Business Justification: Restructuring can be an effective recovery tool when the borrower's distress is temporary and the underlying creditworthiness is sound. This case demonstrates successful intervention. Continued monitoring ensures that the improvement is sustained.

9.14 Case Study 13: The Seasonal Business

Borrower Profile:

- Name: Alpine Ski Supplies Ltd
- Industry: Seasonal Retail
- Turnover: $1.8 million per annum (highly seasonal)
- Facility: Seasonal overdraft, $300,000, originated 4 years ago
- Grade at Origination: BB1
- Current Grade: BB2
- Payment History: Seasonal pattern; occasional late payments during off-season
- Peak Season DSCR: 2.1x
- Off-Season DSCR: 0.8x

Current Status: Off-season period. DSCR below 1.0x. One late payment last month. Seasonal pattern is normal but requires monitoring.

Emerging Risk: Seasonal cash flow patterns create inherent risk. If peak season performance is weaker than expected, annual debt service may be inadequate.

Monitoring Decision: Moderate Risk category. Enhanced monitoring during off-season. Quarterly review.

Recommended Action:

- Monitor peak season performance closely
- Assess inventory and order book for upcoming season
- If peak season DSCR falls below 1.8x, escalate to Senior Credit Officer
- Consider reducing facility limit during off-season
- Ensure security (inventory, receivables) is adequate
- Quarterly review with seasonal cash flow analysis

Business Justification: Seasonal businesses require tailored monitoring that accounts for cyclical cash flow patterns. Standard year-round metrics may not capture the true risk profile. Enhanced monitoring during vulnerable periods and close attention to peak season performance are essential.

9.15 Case Study 14: The Related-Party Exposure

Borrower Profile:

- Name: Metro Construction Group Pty Ltd
- Industry: Construction
- Turnover: $12 million per annum
- Facility: Term loan, $2.5 million, originated 3 years ago
- Grade at Origination: A2
- Current Grade: B1
- Payment History: Perfect until last quarter; one 20-day late payment
- Related Parties: 3 subsidiary companies with total group exposure of $4.8 million
- Group DSCR: 1.35x (declined from 1.65x)

Current Status: Group financial condition has deteriorated. One subsidiary has reported losses. Late payment from parent company.

Emerging Risk: Related-party or group exposures create contagion risk. Deterioration in one entity may affect the entire group. The bank's total exposure is significant.

Monitoring Decision: High Risk category. Immediate manual review. Escalate to Senior Credit Officer. Group exposure review.

Recommended Action:

- Senior Credit Officer review of entire group exposure
- Obtain consolidated financial statements
- Assess cross-guarantees and security arrangements
- Evaluate whether group support is viable or if subsidiary losses will affect parent
- Consider cross-default provisions

- If group DSCR falls below 1.20x, escalate to Credit Committee
- Enhanced monitoring (monthly) for all group entities

Business Justification: Group exposures require holistic monitoring. The bank must assess the creditworthiness of the entire group, not just the individual borrower. Contagion risk is significant in construction, where project failures or cost overruns in one entity can affect the group.

9.16 Case Study 15: The Mature Mortgage

Borrower Profile:

- Name: Mr. and Mrs. Harrison
- Ages: 62 and 60
- Occupation: Retired (former civil servants)
- Employment: Pension income
- Income: $48,000 per annum (pension)
- Facility: Mortgage, $95,000 remaining, 20-year term originated 12 years ago
- Grade at Origination: A1
- Current Grade: A2
- Payment History: Perfect for 12 years
- LTV at Origination: 70%
- Current LTV: 35%
- DTI: 25%

Current Status: Mortgage is well-seasoned. LTV has improved significantly due to principal amortisation and property value appreciation. Payments are perfect.

Emerging Risk: None. However, borrowers are approaching retirement age and income is fixed.

Monitoring Decision: Low Risk category. Standard annual review. Consider product suitability for retirement income.

Recommended Action:

- Continue annual review
- Assess whether fixed pension income is sufficient for remaining term
- Consider whether borrowers would benefit from term reduction or product switch
- Monitor for unexpected medical expenses that could affect fixed income
- No action required unless circumstances change

Business Justification: Well-seasoned mortgages with strong payment history and low LTV are low risk. However, the transition to fixed retirement income requires consideration of long-term serviceability. Proactive product discussion may enhance customer relationship and reduce future risk.

9.17 Case Study 16: The Rapid Deterioration

Borrower Profile:

- Name: Mr. Daniel Lee
- Age: 28
- Occupation: Sales Representative
- Employment: Same employer for 18 months
- Income: $55,000 per annum
- Facility: Personal loan, $10,000, 2-year term, originated 5 months ago
- Grade at Origination: BB1
- Current Grade: CC2
- Payment History: Missed last 2 payments; 45 days and 75 days past due
- DTI at Origination: 34%
- Current DTI: Unknown (income unverified)
- Credit Utilisation: 92%
- New Borrowing: 3 new credit cards in last 3 months
- Credit Enquiries: 8 in last 90 days

Current Status: Rapid deterioration from BB1 to CC2 within 5 months. Two consecutive missed payments. Multiple new credit cards. Very high utilisation. Multiple enquiries.

Emerging Risk: Critical risk. Rapid deterioration indicates severe financial distress or potential fraud. Default is imminent.

Monitoring Decision: Critical Risk category. Immediate escalation to Senior Credit Officer and Recovery Team.

Recommended Action:

- Immediate default classification (75 days past due)
- Recovery Team engagement
- Fraud assessment (rapid new borrowing and deterioration)
- Security assessment (unsecured; no recovery prospects)
- Legal demand letter
- If no response within 7 days, initiate legal recovery proceedings
- Update provisioning for expected loss

Business Justification: Rapid deterioration within months of origination is a red flag for application fraud or severe financial mismanagement. The borrower has taken on multiple new credit cards and is now delinquent. Immediate recovery action is essential to minimise loss.

9.18 Case Study 17: The Commercial Restructuring

Borrower Profile:

- Name: Coastal Restaurants Ltd
- Industry: Hospitality
- Turnover: $3.2 million per annum (reduced from $4.5 million)
- Facility: Term loan, $800,000, 5-year term, originated 2 years ago
- Grade at Origination: BBB1
- Current Grade: CCC1
- Payment History: Missed last quarterly payment; 40 days late
- DSCR: 0.95x (below covenant threshold of 1.20x)
- Gearing: 52%

Current Status: Revenue decline due to local economic conditions. DSCR below 1.0x. Covenant breach. One missed payment.

Emerging Risk: High risk of default if conditions do not improve. Hospitality sector is vulnerable to economic downturns.

Monitoring Decision: High Risk category. Immediate manual review. Escalate to Senior Credit Officer. Restructuring assessment.

Recommended Action:

- Senior Credit Officer review with updated financials and business plan
- Assess whether revenue decline is temporary (e.g., local event) or structural
- Evaluate management's recovery plan
- Consider restructuring: interest-only period for 6 months, covenant waiver
- If restructuring approved, require enhanced reporting (monthly management accounts)
- If no viable restructuring, initiate security enforcement (property lease assignments, equipment)
- Monitor local hospitality market conditions

Business Justification: Hospitality businesses are cyclical and vulnerable to local economic conditions. A measured restructuring that provides temporary relief while the business recovers may be preferable to immediate enforcement, particularly if the underlying business is viable and security is adequate.

9.19 Case Study 18: The Guarantor Weakness

Borrower Profile:

- Name: Sunrise Retail Ltd
- Industry: Retail
- Turnover: $5.5 million per annum
- Facility: Overdraft, $600,000, originated 3 years ago
- Grade at Origination: A3

- Current Grade: B1
- Payment History: Perfect
- Security: Personal guarantee from 2 directors; no tangible security
- Director 1 Net Worth: $450,000 (property equity)
- Director 2 Net Worth: $120,000 (recently divorced; asset division)

Current Status: Business performance is stable. However, Director 2's net worth has declined significantly due to divorce. Personal guarantee from Director 2 is now weak.

Emerging Risk: Personal guarantees are a key component of security for unsecured commercial facilities. Weakening of a guarantor's financial position reduces the bank's recovery prospects.

Monitoring Decision: Moderate Risk category. Enhanced monitoring. Manual review of security position.

Recommended Action:

- Assess whether Director 2's guarantee is still enforceable and valuable
- Consider requesting additional security from Director 1 or the business
- Review guarantee documentation for enforceability
- If Director 2's net worth is insufficient to cover exposure, escalate to Senior Credit Officer
- Consider requiring Director 1 to provide additional guarantee or security
- Quarterly review of guarantor financial positions

Business Justification: Personal guarantees are only as strong as the guarantor's financial position. Life events such as divorce can materially weaken guarantees. Proactive security management ensures that the bank's position is maintained.

9.20 Case Study 19: The Cross-Border Exposure

Borrower Profile:

- Name: Global Tech Solutions Ltd
- Industry: Technology Services
- Turnover: $15 million per annum (40% from international clients)
- Facility: Term loan, $3.5 million, originated 2 years ago
- Grade at Origination: A2
- Current Grade: B1
- Payment History: Perfect until last quarter; one 18-day late payment
- Currency Exposure: 40% of revenue in EUR and GBP
- Recent Exchange Rate Movement: Domestic currency appreciated 15% against EUR/GBP

Current Status: Currency appreciation has reduced the value of international revenue when converted to domestic currency. One late payment. Revenue decline of approximately 8% in domestic currency terms.

Emerging Risk: Cross-border revenue exposure creates currency risk. If currency movement is sustained, revenue and debt service capacity will be impaired.

Monitoring Decision: Moderate Risk category. Enhanced monitoring. Manual review of currency risk.

Recommended Action:

- Assess whether the borrower has hedging arrangements
- Review financial statements for currency impact
- If no hedging, consider requiring hedging policy as covenant
- Monitor exchange rate trends and revenue impact
- If revenue decline continues, escalate to Senior Credit Officer
- Quarterly review with currency risk assessment

Business Justification: Cross-border exposures require monitoring of currency and jurisdictional risks. Currency movements can significantly affect debt service capacity even when the underlying business is sound. Hedging requirements may be appropriate to mitigate this risk.

9.21 Case Study 20: The Portfolio Concentration Alert

Borrower Profile:

- Name: Multiple borrowers (15 accounts)
- Industry: Coal Mining and Related Services
- Total Exposure: $8.2 million
- Portfolio Share: 12% of total commercial portfolio
- Grade Range: A3 to CCC2
- Recent Trend: 3 grade deteriorations in last quarter; 2 late payments

Current Status: Concentration in a single industry sector that is experiencing structural decline. Multiple borrowers showing deterioration signals.

Emerging Risk: Portfolio concentration risk. If the sector continues to decline, multiple defaults could occur simultaneously, causing significant portfolio losses.

Monitoring Decision: Portfolio-level alert. Immediate stress review. Escalate to Risk Committee.

Recommended Action:

- Risk Committee review of sector concentration
- Portfolio stress test under sector decline scenario
- Assess whether to halt new originations in the sector
- Consider portfolio sale or securitisation to reduce concentration
- Enhanced monitoring for all sector exposures (monthly)
- Review collateral values (mining equipment may have declining resale value)
- If stress test indicates capital inadequacy, consider capital raising or portfolio restructuring
- Regulatory notification if required

Business Justification: Portfolio concentration is a systemic risk that can affect the bank's solvency. A sector with structural decline and multiple deteriorating exposures requires immediate strategic response. Diversification and stress testing are essential to maintain portfolio resilience.

9.22 Case Study 21: The Medical Hardship

Borrower Profile:

- Name: Ms. Linda Patel
- Age: 39
- Occupation: Teacher
- Employment: Same employer for 7 years
- Income: $52,000 per annum (on medical leave; receiving 60% disability pay)
- Facility: Personal loan, $14,000, 3-year term, originated 10 months ago
- Grade at Origination: BBB2
- Current Grade: BB2
- Payment History: One missed payment last month (first ever)
- DTI at Origination: 30%
- Current DTI: 45% (on reduced income)
- Credit Utilisation: 38%

Current Status: Borrower on medical leave with reduced income. First missed payment. DTI has increased significantly.

Emerging Risk: Moderate to high risk. Medical leave duration is uncertain. If leave is extended or permanent, borrower may be unable to meet obligations.

Monitoring Decision: Moderate Risk category. Enhanced monitoring. Manual review. Consider forbearance.

Recommended Action:

- Contact borrower with empathy and support
- Assess expected duration of medical leave
- If temporary (3-6 months), offer forbearance (payment deferral or reduction)
- If permanent or long-term, assess disability insurance or other income sources
- If no viable recovery path, consider restructuring or settlement
- Document hardship assistance in accordance with regulatory requirements
- Enhanced monitoring (monthly) until situation stabilises

Business Justification: Medical hardship is a common cause of temporary financial distress. A compassionate and proportionate response that offers forbearance or restructuring may preserve the relationship and achieve better recovery than immediate collections. Regulatory requirements for fair treatment of vulnerable customers must be observed.

9.23 Case Study 22: The Property Developer

Borrower Profile:

- Name: Meridian Developments Pty Ltd
- Industry: Residential Property Development
- Project: 12-unit apartment complex
- Facility: Development loan, $4.2 million, 18-month term, originated 8 months ago
- Grade at Origination: BBB1
- Current Grade: BB2
- Payment History: Interest payments current; principal due at completion
- Presales: 4 of 12 units presold (target was 8)
- Construction Progress: 60% complete; on budget
- Market Conditions: Local property market has softened; sales velocity declined

Current Status: Presales below target. Market softening may affect project profitability and loan repayment.

Emerging Risk: High risk if presales do not improve. The bank may be left with unsold inventory and incomplete recovery.

Monitoring Decision: High Risk category. Enhanced monitoring. Monthly site and sales review. Escalate to Senior Credit Officer.

Recommended Action:

- Senior Credit Officer review with updated project feasibility
- Assess whether developer can complete project without additional funding
- Evaluate market conditions and sales prospects
- Consider requiring additional presales before further drawdowns
- If market conditions deteriorate further, consider security enhancement (additional collateral, personal guarantees)
- Monthly site inspections and sales reporting
- If presales remain below 6 by month 12, escalate to Credit Committee

Business Justification: Property development loans are high risk due to market cyclicality and project-specific risks. Presales are a critical indicator of project viability. Early intervention to limit further exposure and enhance security protects the bank's position.

9.24 Case Study 23: The Debt Consolidation Rebound

Borrower Profile:

- Name: Mr. Michael Brown
- Age: 43
- Occupation: Police Officer

- Employment: Same employer for 12 years
- Income: $70,000 per annum
- Facility: Debt consolidation loan, $45,000, 5-year term, originated 15 months ago
- Grade at Origination: BB1
- Current Grade: BB2
- Payment History: Perfect on consolidation loan; however, new credit card opened 3 months ago with $8,000 balance
- DTI at Origination: 38% (after consolidation)
- Current DTI: 44% (including new credit card)
- Credit Utilisation: 65% (new credit card maxed out)

Current Status: Borrower consolidated debt 15 months ago but has since accumulated new credit card debt. DTI has increased. New credit card is maxed out.

Emerging Risk: High risk of recurring debt accumulation. Borrower has not addressed underlying financial behaviour. New credit card debt indicates continued reliance on credit.

Monitoring Decision: Moderate to High Risk category. Enhanced monitoring. Manual review. Borrower engagement.

Recommended Action:

- Contact borrower to discuss financial management and new borrowing
- Assess whether new debt was for essential expenditure or discretionary spending
- Offer financial counselling or budgeting assistance
- Consider requiring borrower to close new credit card or reduce limit
- If DTI exceeds 45% or additional new borrowing detected, escalate to Senior Credit Officer
- Quarterly review for next 12 months

Business Justification: Debt consolidation loans rely on the borrower's commitment to reduce overall indebtedness. Re-accumulation of debt indicates that the underlying cause of over-indebtedness has not been addressed. Early engagement and financial counselling may prevent further deterioration.

9.25 Case Study 24: The Supplier Dependency

Borrower Profile:

- Name: Precision Components Ltd
- Industry: Manufacturing
- Turnover: $6.8 million per annum
- Facility: Term loan, $1.5 million, 5-year term, originated 3 years ago
- Grade at Origination: A3
- Current Grade: B1
- Payment History: Perfect until last month; one 12-day late payment

- Key Supplier: Single supplier provides 60% of raw materials
- Supplier Status: Supplier filed for bankruptcy 2 weeks ago

Current Status: Key supplier bankruptcy threatens production continuity. One late payment may indicate cash flow disruption.

Emerging Risk: High risk. Loss of key supplier could halt production and eliminate revenue. Borrower may not be able to find alternative supplier quickly.

Monitoring Decision: High Risk category. Immediate manual review. Escalate to Senior Credit Officer. Business continuity assessment.

Recommended Action:

- Senior Credit Officer review with emergency business assessment
- Assess whether borrower has alternative suppliers identified
- Evaluate inventory levels and production runway
- If production halt is likely, assess whether loan can be restructured or whether security enforcement is preferable
- Consider providing temporary working capital facility if borrower has viable alternative supplier plan
- Enhanced monitoring (weekly) until supplier situation resolved
- If production ceases, escalate to Credit Committee and initiate default assessment

Business Justification: Supplier dependency is a significant operational risk for manufacturing businesses. The bankruptcy of a key supplier can be catastrophic. Immediate assessment of business continuity and alternative sourcing is essential to determine whether the business is viable or whether the bank should accelerate recovery.

9.26 Case Study 25: The Retirement Transition

Borrower Profile:

- Name: Mr. George Thompson
- Age: 67
- Occupation: Retired (former business owner)
- Employment: Pension and investment income
- Income: $85,000 per annum (investment income variable)
- Facility: Investment property loan, $320,000, 10-year term, originated 5 years ago
- Grade at Origination: BBB1
- Current Grade: BBB2
- Payment History: Perfect
- LTV: 50%
- DTI: 35%

- Investment Property Rental Income: $28,000 per annum

Current Status: Borrower is retired. Income is now from investments and pensions, which may be variable. Rental income covers most of the loan payment.

Emerging Risk: Moderate risk. Variable investment income and reliance on rental income create vulnerability if investment returns decline or rental vacancy occurs.

Monitoring Decision: Moderate Risk category. Enhanced monitoring. Quarterly review.

Recommended Action:

- Assess stability of investment income sources
- Evaluate rental property market conditions and vacancy risk
- Consider whether loan term should be reduced given borrower's age
- If investment income declines by more than 15%, escalate to Senior Credit Officer
- Quarterly review with updated income verification
- Ensure property insurance and maintenance are maintained

Business Justification: Retirement transitions require careful assessment of income sustainability. Variable investment income and rental dependence create risks that may not have been present during the borrower's working life. Proactive monitoring ensures that the bank can respond to income volatility.

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10. Operational Best Practices

10.1 Continuous Monitoring

Continuous monitoring is the foundation of effective portfolio management. Best practices include:

- **Automated Surveillance:** Deploy automated systems to monitor all accounts daily for payment performance, EWI triggers, and grade changes. Automation enables scale and consistency that manual processes cannot achieve.
- **Exception-Based Monitoring:** Focus manual review resources on accounts that trigger exceptions or exhibit deterioration. Low-risk accounts should receive standard periodic review without disproportionate resource allocation.
- **Real-Time Alerts:** Configure monitoring systems to generate real-time alerts for critical events (e.g., bankruptcy filing, 90-day delinquency, security enforcement trigger). Real-time alerts enable immediate response.
- **Data Quality:** Ensure that all monitoring data is accurate, complete, and timely. Data quality issues undermine the effectiveness of all monitoring activities.
- **Trend Analysis:** Monitor trends over time, not just point-in-time values. A borrower whose DTI has increased steadily over 6 months is more concerning than a borrower with a single high reading.
- **Cross-Reference Validation:** Validate monitoring findings across multiple data sources (internal systems, credit bureaus, financial statements, collateral valuations). Single-source data may be incomplete or inaccurate.

10.2 Risk Governance

Effective risk governance ensures that monitoring activities are conducted with appropriate independence, authority, and accountability. Best practices include:

- **Three Lines of Defence:** Maintain clear separation between the first line (lending and monitoring), second line (risk management and compliance), and third line (internal audit). Each line has distinct roles and responsibilities.
- **Independent Challenge:** The second line must independently challenge first-line monitoring decisions, grade assignments, and management actions. Challenge must be documented and resolved.
- **Authority and Accountability:** Clear delegated authority ensures that decisions are made by personnel with appropriate expertise and independence. Accountability ensures that decisions are made responsibly.
- **Escalation Culture:** Foster a culture in which early escalation is encouraged and rewarded. Delayed escalation is a common cause of avoidable losses.
- **Risk Appetite Alignment:** Monitoring activities must align with the bank's stated risk appetite. Accounts that exceed risk appetite thresholds must be escalated and managed accordingly.
- **Board Oversight:** The Board Risk Committee must receive regular, comprehensive reporting on portfolio quality, monitoring effectiveness, and emerging risks. Board oversight ensures strategic alignment and accountability.

10.3 Documentation

Comprehensive documentation is essential for audit, regulatory, and legal purposes. Best practices include:

- **Complete Records:** Maintain complete records of all monitoring activities, decisions, and actions. Records must be sufficient to reconstruct the monitoring history of any account.
- **Standardised Templates:** Use standardised templates for monitoring notes, escalation records, grade decisions, and action plans. Standardisation ensures consistency and completeness.
- **Timestamping:** All records must be timestamped to establish chronology and demonstrate timeliness.
- **Version Control:** Maintain version control for all documents that are revised over time (e.g., grade decisions, restructuring agreements).
- **Retention:** Retain all monitoring documentation for the period required by law and regulation (typically 7 years after account closure or write-off).
- **Accessibility:** Ensure that documentation is accessible to authorised personnel for audit, regulatory examination, and legal proceedings.

10.4 Responsible Lending

Responsible lending obligations extend throughout the credit lifecycle. Best practices include:

- **Fair Treatment:** Treat all borrowers fairly, respectfully, and without discrimination. Collection activities must not harass, intimidate, or unduly pressure borrowers.
- **Vulnerable Customers:** Identify and provide additional support to vulnerable customers (e.g., elderly, disabled, financially distressed). Vulnerable customer policies must be observed in all monitoring and collection activities.
- **Hardship Assistance:** Provide hardship assistance to borrowers experiencing genuine financial difficulty. Hardship assistance may include forbearance, restructuring, or reduced payment plans.

- **Transparency:** Communicate clearly with borrowers about their obligations, the consequences of non-payment, and any available assistance. Avoid misleading or confusing language.
- **Complaint Handling:** Handle borrower complaints promptly, fairly, and in accordance with regulatory requirements. Complaints may reveal systemic issues that require policy amendment.
- **Product Suitability:** Ensure that credit facilities remain suitable for the borrower's circumstances throughout the facility life. If a product becomes unsuitable, consider modification or replacement.

10.5 Customer Communication

Effective customer communication supports monitoring, early intervention, and relationship preservation. Best practices include:

- **Proactive Contact:** Contact borrowers proactively when EWIs are triggered, before delinquency occurs. Proactive contact may prevent deterioration.
- **Clear Messaging:** Use clear, concise, and non-technical language in all customer communications. Avoid jargon and ambiguity.
- **Multiple Channels:** Use multiple communication channels (phone, email, SMS, letter) to maximise reach. Respect borrower preferences where expressed.
- **Documentation:** Document all customer communications, including content, outcome, and any agreements reached.
- **Escalation Path:** Provide borrowers with a clear escalation path for complaints, disputes, or hardship requests.
- **Cultural Sensitivity:** Ensure that communications are culturally sensitive and appropriate for the borrower's background and circumstances.

10.6 Portfolio Diversification

Portfolio diversification reduces concentration risk and enhances resilience. Best practices include:

- **Sector Limits:** Establish and enforce sector exposure limits. Monitor sector concentrations and take action when limits are approached or breached.
- **Geographic Diversification:** Monitor geographic concentrations and assess regional economic conditions. Avoid over-concentration in economically vulnerable regions.
- **Product Diversification:** Maintain a balanced portfolio across product types. Over-reliance on a single product type creates vulnerability to product-specific risks.
- **Risk Grade Distribution:** Monitor the distribution of risk grades and ensure alignment with risk appetite. A portfolio with excessive high-risk exposure requires strategic adjustment.
- **Correlation Awareness:** Assess correlations between portfolio segments. Diversification is only effective if segments are not perfectly correlated.
- **Stress Testing:** Regularly stress test the portfolio under scenarios that affect concentrated segments. Stress testing reveals hidden vulnerabilities.

10.7 Audit Readiness

Audit readiness ensures that the bank can demonstrate compliance, effectiveness, and control at all times. Best practices include:

- **Continuous Compliance:** Monitor compliance with policies, procedures, and regulations continuously, not just in preparation for audits.
- **Self-Assessment:** Conduct regular self-assessments of monitoring processes, documentation, and controls. Self-assessment identifies issues before auditors do.

- **Remediation Tracking:** Track and remediate all identified issues promptly. Unremediated issues accumulate and create audit findings.
- **Evidence Preservation:** Maintain all evidence required to support monitoring decisions, grade assignments, and provisioning.
- **Audit Cooperation:** Cooperate fully with internal and external auditors. Provide timely, accurate, and complete information.
- **Lessons Learned:** Use audit findings as opportunities for improvement. Implement lessons learned to prevent recurrence.

10.8 Regulatory Compliance

Regulatory compliance is a non-negotiable obligation. Best practices include:

- **Policy Alignment:** Ensure that all monitoring policies and procedures align with applicable regulations (e.g., Basel III/IV, consumer protection laws, anti-money laundering requirements).
- **Regulatory Monitoring:** Monitor regulatory developments and assess impact on monitoring practices. Regulatory requirements evolve continuously.
- **Reporting Accuracy:** Ensure that all regulatory reports are accurate, complete, and submitted on time. Inaccurate reporting may result in regulatory censure.
- **Capital Adequacy:** Ensure that capital requirements reflect portfolio risk accurately. Under-provisioning or under-capitalisation creates regulatory and financial risk.
- **Consumer Protection:** Observe all consumer protection requirements in monitoring, collections, and recovery activities. Consumer harm may result in regulatory action, reputational damage, and financial penalties.
- **Data Protection:** Ensure that borrower data is collected, stored, used, and shared in accordance with data protection laws. Data breaches may result in severe penalties.
- **Training:** Provide regular training to all monitoring staff on regulatory requirements, policy changes, and best practices. Training ensures competence and compliance.

Appendices

Appendix A: Glossary of Terms

Term	Definition
Charge-off	The formal removal of a debt from the bank’s balance sheet, reflecting the determination that recovery is no longer probable.
Collateral	Assets pledged by the borrower to secure a credit facility, which the bank may seize and sell upon default.
Covenant	A contractual condition in a credit facility that the borrower must satisfy (e.g., financial ratio, reporting requirement).
Days Past Due (DPD)	The number of days by which a payment is late.
Debt Service Coverage Ratio (DSCR)	The ratio of cash flow available for debt service to the total debt service obligation.

Table 75 – continued

Term	Definition
Default	The status assigned to a borrower who has failed to meet contractual obligations, typically defined as 90+ days past due or earlier if the bank determines that payment is unlikely.
Debt-to-Income Ratio (DTI)	The proportion of gross monthly income committed to debt service obligations.
Early Warning Indicator (EWI)	An observable signal that suggests a borrower's creditworthiness may be deteriorating.
Forbearance	A temporary concession granted to a borrower in financial difficulty, such as a payment deferral or reduction.
Grade Migration	The movement of a borrower between credit risk grades or sub-grades.
Hard Enquiry	A credit bureau enquiry that is visible to other lenders and may affect the borrower's credit score.
Herfindahl-Hirschman Index (HHI)	A measure of portfolio concentration, calculated as the sum of squared market shares of portfolio segments.
Internal Capital Adequacy Assessment Process (ICAAP)	The bank's internal process for assessing capital adequacy relative to risk.
Know Your Customer (KYC)	The process of verifying the identity of customers and assessing their risk profile.
Loan-to-Value Ratio (LTV)	The ratio of the loan amount to the appraised value of the collateral.
Portfolio at Risk (PaR)	The proportion of the portfolio that is past due by any amount.
Provisioning	The allocation of capital to cover expected losses from credit exposures.
Recovery Rate	The proportion of defaulted debt that is ultimately recovered.
Restructuring	The formal modification of facility terms to enable repayment under revised conditions.
Risk Appetite	The level of risk that the bank is willing to accept in pursuit of its strategic objectives.
Security	Assets, guarantees, or other protections that reduce the bank's loss given default.
Sub-grade	A finer level of risk classification within a credit grade (1, 2, or 3).
Write-off	See Charge-off.

Appendix B: Monitoring Frequency Matrix

Risk Category	Automated Surveillance	Manual Review	Formal Review	Customer Contact
Low Risk	Monthly	Annual	Annual	Annual relationship review
Moderate Risk	Monthly	Semi-annual	Semi-annual	Semi-annual proactive contact
High Risk	Weekly	Monthly	Quarterly	Monthly check-in
Critical Risk	Daily	Weekly	Weekly	Collections-focused
Default	Daily	Weekly	Weekly	Recovery-managed

Table 76 – continued

Risk Category	Automated Surveillance	Manual Review	Formal Review	Customer Contact
Restructured	Weekly	Monthly	Quarterly	Monthly performance review

Appendix C: Escalation Contact Directory

Level	Role	Contact Protocol
Level 1	Loan Officer	Direct line; branch contact
Level 2	Branch Manager	Direct line; branch contact; email
Level 3	Senior Credit Officer	Direct line; email; 24-hour pager for critical issues
Level 4	Risk Committee	Scheduled meetings; emergency conference call protocol
Level 5	Recovery Team	Direct line; email; dedicated recovery hotline
Level 6	Compliance Department	Direct line; email; regulatory hotline

Appendix D: Regulatory Reference Summary

Regulation	Relevance to Chapter 18	Key Requirements
Basel III/IV Capital Requirements	Capital adequacy; risk-weighted assets; provisioning	Accurate risk grade assignment; timely default recognition; adequate provisions
Consumer Protection Regulations	Fair treatment; responsible lending; collections conduct	Proportionate collections; hardship assistance; complaint handling; vulnerable customer policies
Anti-Money Laundering (AML)	Monitoring for suspicious activity	Transaction monitoring; suspicious activity reporting; customer due diligence
Data Protection Regulations	Borrower data handling	Lawful processing; data minimisation; security; breach notification
Financial Reporting Standards	Loan loss provisioning; impairment recognition	Expected credit loss models; stage allocation; forward-looking information
Corporate Governance Codes	Board oversight; risk governance	Risk committee oversight; independent challenge; audit assurance

Appendix E: Document Control

Element	Detail
Document Title	Enterprise Governance & Risk Framework — Chapter 18: Credit Portfolio Monitoring & Post-Approval Risk Management
Document Owner	Chief Risk Officer
Review Cycle	Annual, or upon significant regulatory or business change
Next Review Date	[To be completed]
Approval Authority	Board Risk Committee
Distribution	Internal Use —Restricted Distribution
Retention Period	7 years from supersession
Related Documents	EGRF Chapters 1-17; Default Recognition Policy; Provisioning Policy; Collections & Recovery Policy; Delegated Lending Authority Matrix; Credit Grading Policy

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End of Chapter 18

Stratum Capital Bank Enterprise Governance & Risk Framework Chapter 18 — Credit Portfolio Monitoring & Post-Approval Risk Management Version 1.0